

Independent Auditor's Report

To the Members of Synergistic Financial Networks Private Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Synergistic Financial Networks Private Limited (the "Company") which comprise the standalone balance sheet as at 31 March 2024, and the standalone statement of profit and loss (including other comprehensive income), standalone statement of changes in equity and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2024, and its profit and other comprehensive loss, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's directors' report, but does not include the financial statements and auditor's report(s) thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's and Board of Directors' Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India,

Registered Office:

B S R & Co. (a partnership firm with Registration No. BA61223) converted into B S R & Co. LLP (a Limited Liability Partnership with LLP Registration No. AAB-8181) with effect from October 14, 2013

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Independent Auditor's Report (Continued)

Synergistic Financial Networks Private Limited

including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control

Independent Auditor's Report (Continued)
Synergistic Financial Networks Private Limited

that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

- a. The transition date opening balance sheet as at 01 April 2022 included in these standalone financial statements of the Company for the year ended 31 March 2023, are based on the previously issued statutory financial statements prepared in accordance with the Companies (Accounting Standards) Rules, 2006 audited by the predecessor auditor whose report for the year ended 31 March 2022 dated 29 September 2022 expressed an unmodified opinion on those standalone financial statements, as adjusted for the differences in the accounting principles adopted by the Company on transition to the Ind AS, which have been audited by us.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 A. As required by Section 143(3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for the matter stated in the paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 and that the back-up of general ledger software which form part of the 'books of account and other relevant books and papers in electronic mode' have not been maintained on the servers physically located in India on a daily basis.
 - c. The standalone balance sheet, the standalone statement of profit and loss (including other comprehensive income), the standalone statement of changes in equity and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.
 - d. In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.
 - e. On the basis of the written representations received from the directors as on 31 March 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2024 from being appointed as a director in terms of Section 164(2) of the Act.
 - f. the qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
 - g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
- B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - a. The Company has disclosed the impact of pending litigations as at 31 March 2024 on its financial

Independent Auditor's Report (Continued)

Synergistic Financial Networks Private Limited

position in its standalone financial statements - Refer Note 40 to the standalone financial statements.

- b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 36(b) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 36(b) to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.
- e. The Company has neither declared nor paid any dividend during the year.
- f. Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account relating to general ledger and revenue records. In respect of the accounting software used for maintaining general ledger, it has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit, we did not come across any instance of audit trail feature being tampered with. Further, based on our examination, for the accounting software used for maintaining the books of account relating to revenue, (a) the feature of recording audit trail (edit log) facility was not enabled at the database level to log any direct data changes; and (b) due to system limitations to validate configuration of the feature of recording audit trail (edit log) facility at the application level, we are unable to comment whether audit trail feature of the said software was enabled at the application level and operated throughout the year for all relevant transactions recorded in the software or whether there were any instances of the audit trail feature being tampered with.

Independent Auditor's Report (Continued)

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C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Ankit Gupta

Partner

Place: Gurugram

Membership No.: 517870

Date: 27 September 2024

ICAI UDIN:24517870BKHBSH8314

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment except for location of Point of Sale ('POS') devices for which separate records are maintained.
- (B) The Company has maintained proper records showing full particulars of intangible assets.
- (i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner over a period of three years. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
- (c) The Company does not have any immovable property (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee). Accordingly, clause 3(i)(c) of the Order is not applicable.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii) (a) The inventory, has been physically verified by the management during the year. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company except as follows:

Quarter	Name of bank	Particulars	Amount as per books of account (Rs. in lakhs)	Amount as reported in the quarterly return/statement (Rs. in lakhs)	Amount of difference (Rs. in lakhs)	Whether return/statement subsequently rectified
31-March-2024	Citi bank	Trade Receivabl	6,234	5,509	725	Yes

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

Quarter	Name of bank	Particulars	Amount as per books of account (Rs. in lakhs)	Amount as reported in the quarterly return/statement (Rs. in lakhs)	Amount of difference (Rs. in lakhs)	Whether return/statement subsequently rectified
		es(excluding Unbilled)				
		Inventories	346	346	-	

- (iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments in companies, firms, limited liability partnership or any other parties. The Company has provided guarantee and has granted advances in the nature of loans to Companies during the year in respect of which the requisite information is as below. The Company has not provided any security, granted any loans, secured or unsecured, to companies, firms, limited liability partnership or any other parties during the year.
- (a) Based on the audit procedures carried on by us and as per the information and explanations given to us the Company has provided advances in the nature of loans, or stood guarantee to subsidiary and other entity as below:

Particulars	Guarantees (Rs. in lakhs)	Advances in nature of loans (Rs. in lakhs)
Aggregate amount during the year		
Subsidiary*	4,000	1,869
Others	-	1
Balance outstanding as at balance sheet date		
Subsidiary*	4,000	-
Others	-	7

**As per the Companies Act, 2013*

- (b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the guarantees provided and the terms and conditions of the grant of advances in the nature of loans during the year are, prima facie, not prejudicial to the interest of the Company. Further, the Company has not provided any security, granted any loans during the year.
- (c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of advance in the nature of loan given, in our opinion the repayment of principal and payment of interest has been stipulated and the repayments or

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

receipts have been regular except for the advance in the nature of loan of Rs. 1,869 lakhs given to M/s Cashless Technologies India Private Limited and Rs. 1 lakh given to M/s Grapefruit Payment Solutions Private Limited which is repayable on demand. As informed to us, the Company has not demanded repayment of the loan during the year. Thus, there has been no default on the part of the party to whom the money has been lent. The payment of interest has been regular. Further, the Company has not given any loan to any party during the year.

- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in case of advance in the nature of loans of Rs. 1,869 lakhs given to M/s Cashless Technologies India Private Limited and Rs. 1 lakh given to M/s Grapefruit Payment Solutions Private Limited, the schedule for repayment of principal and payment of interest have not been stipulated and accordingly we are unable to comment on the amount overdue for more than ninety days. Further, the Company has not given any loans to any party during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.
- (f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment except for the following advances in the nature of loans to its related parties as defined in Clause (76) of Section 2 of the Companies Act, 2013 ("the Act"):

	All Parties (Rs. in lakhs)	Related Parties (Rs. in lakhs)
Aggregate of advances in nature of loan		
- Repayable on demand (A)	1,870	1,870
- Agreement does not specify any terms or period of Repayment (B)	-	-
Total (A+B)	1,870	1,870
Percentage of advances in nature of loan to the total loans	100%	100%

- (iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company has neither made any investments nor has it given loans or provided guarantee or security and therefore the relevant provisions of Sections 185 and 186 of the Companies Act, 2013 ("the Act") are not applicable to the Company. Accordingly, clause 3(iv) of the Order is not applicable.
- (v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.
- (vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the products traded by it and services provided by it. Accordingly, clause 3(vi) of the Order is not applicable.

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

- (vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues have generally been regularly deposited with the appropriate authorities, though there have been slight delays in a few cases of Provident Fund and Employees State Insurance.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2024 for a period of more than six months from the date they became payable.

- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, statutory dues relating to Goods and Service Tax and Income-Tax which have not been deposited on account of any dispute are as follows:

Name of the statute	Nature of the dues	Amount (Rs. in lakhs)	Period to which the amount relates	Forum where dispute is pending	Remarks , if any
Goods and Service Tax, 2017	Goods and Service Tax	74	July 2017 - March 2018	Appellate Authority, Goods and Service Tax, Mumbai	
Income Tax Act, 1961	Income Tax	1,777	Assessment year 2020-21	Commissioner of Income-tax (Appeals)	Out of total amount, Rs. 444 lakhs has been paid under protest

- (viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.
- (ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to banks or financial institutions or any other lender, except those mentioned below:

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

Nature of borrowing including debt securities	Name of lender	Amount not paid on due date (Rs. in lakhs)	Whether principal or interest	No. of days delay or unpaid	Remarks, if any*
Loan from Related Party	Pine Labs Private Limited	100	Principal	194	Paid on 15-September-2023 whereas the due date of payment was 12-January-2023
Loan from Related Party	Pine Labs Private Limited	500	Principal	105	Paid on 15-September-2023 whereas the due date of payment was 11-April-2023
Loan from Related Party	Pine Labs Private Limited	1,400	Principal	99	Paid on 25-September-2023 whereas the due date of payment was 17-April-2023
Loan from Related Party	Pine Labs Private Limited	100	Principal	99	Paid on 18-October-2023 whereas the due date of payment was 17-April-2023
Loan from Related Party	Pine Labs Private Limited	900	Principal	41	Paid on 18-October-2023 whereas the due date of

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

Nature of borrowing including debt securities	Name of lender	Amount not paid on due date (Rs. in lakhs)	Whether principal or interest	No. of days delay or unpaid	Remarks, if any*
					payment was 14-June-2023
Loan from Related Party	Pine Labs Private Limited	161	Interest	Multiple dates	Paid on 14-February-2024 whereas the due date of payment were Multiple dates

* The Company has entered into an addendum dated 25 July 2023 to the loan agreement dated 15 October 2022 wherein the repayment period has been extended to 31 March 2024. Accordingly, we have considered the delay till the date of addendum.

- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.
- (c) According to the information and explanations given to us by the management, the Company has not obtained any term loans during the year. Accordingly, clause 3(ix)(c) of the Order is not applicable.
- (d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.
- (e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary as defined under the Act. The Company does not hold any investment in any associates or joint ventures (as defined under the Act) during the year ended 31 March 2024.
- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiary (as defined under the Act). The Company does not hold any investment in any associates or joint ventures (as defined under the Act) during the year ended 31 March 2024.
- (x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

- (xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the course of the audit.
- (b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- (c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.
- (xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.
- (xiii) The Company is a private limited company and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.
- (xiv) (a) In our opinion and based on the information and explanations provided to us, the Company does not have an Internal Audit system and is not required to have an internal audit system as per Section 138 of the Act.
- (b) In our opinion and based on the information and explanations provided to us, the Company does not have an internal audit system and is not required to have an internal audit system as per Section 138 of the Act. Accordingly, clause 3(xiv)(b) of the Order is not applicable.
- (xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.
- (xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.
- (b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.
- (c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.
- (d) The Company is not part of any group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.
- (xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.
- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- (xx) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Ankit Gupta

Partner

Place: Gurugram

Date: 27 September 2024

Membership No.: 517870

ICAI UDIN:24517870BKHBSH8314

Annexure B to the Independent Auditor's Report on the standalone financial statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024

Report on the internal financial controls with reference to the aforesaid standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Adverse Opinion

We have audited the internal financial controls with reference to financial statements of Synergistic Financial Networks Private Limited ("the Company") as of 31 March 2024 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

In our opinion, because of the effects of the material weakness described below on the achievement of the objectives of the control criteria, the Company has not maintained adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were not operating effectively as of 31 March 2024, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

We have considered the material weakness identified and reported below in determining the nature, timing and extent of audit tests applied in our audit of the 31 March 2024 standalone financial statements of the Company, and the material weakness does not affect our opinion on the standalone financial statements of the Company.

Basis for Adverse Opinion

According to the information and explanations given to us and based on our audit, following material weakness has been identified in the Company's internal financial controls with reference to financial statements as at 31 March 2024:

The Company did not have appropriate internal controls in respect of general controls over information technology system (GITC) relating to privilege user access, change management and user access revocation procedures in respect of the application being used by the Company basis which revenue is recognised. Further, Company has not adequately designed/ implemented the controls as intended, and has not maintained adequate documentation of the control environment, including establishing completeness and accuracy of changes and appropriate approval chain that should form part of GITC evidences with in the reporting period, accordingly, GITC environment is ineffective.

This could potentially result in misstatement in revenue and receivables account balance in the books of account.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control with reference to financial statements, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis.

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the

Annexure B to the Independent Auditor's Report on the standalone financial statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of

Annexure B to the Independent Auditor's Report on the standalone financial statements of Synergistic Financial Networks Private Limited for the year ended 31 March 2024 (Continued)

changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Ankit Gupta

Partner

Place: Gurugram

Date: 27 September 2024

Membership No.: 517870

ICAI UDIN:24517870BKHBSH8314

Synergistic Financial Networks Private Limited

Standalone Balance Sheet as at 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

	Notes	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Assets				
Non-current assets				
Property, plant and equipment	3	1,219	857	513
Capital work-in-progress	3	11	-	-
Right-of-use assets	5	1,162	1,040	260
Intangible assets	4	573	278	331
Intangible assets under development	4	52	249	150
Financial assets				
i. Investment	6	1,928	1,938	1,929
ii. Other financial assets	8	1,017	119	37
Deferred tax assets (net)	12	248	192	196
Non-current tax assets (net)	9	1,131	705	302
Other non-current assets	11	91	49	-
Total non-current assets		7,432	5,427	3,718
Current assets				
Inventories	10	346	1,788	444
Financial assets				
i. Trade receivables	13	6,403	6,204	1,879
ii. Cash and cash equivalents	14	414	84	1,975
iii. Bank balances other than (ii) above	15	395	134	13
iv. Loans	7	7	4,289	1,746
v. Other financial assets	8	315	62	331
Contract assets	23	3,531	1,545	514
Other current assets	11	1,594	993	530
Total current assets		13,005	15,099	7,432
Total Assets		20,437	20,526	11,150
Equity and liabilities				
Equity				
Equity share capital	16	195	195	195
Other equity	17	12,118	10,718	9,277
Total equity		12,313	10,913	9,472
Liabilities				
Non-current liabilities				
Financial liabilities				
i. Lease liabilities	5	834	778	143
ii. Other financial liabilities	19	152	136	4
Contract liabilities	23	24	58	-
Provisions	20	250	208	178
Total non-current liabilities		1,260	1,180	325
Current liabilities				
Financial liabilities				
i. Borrowings	18	2,607	5,330	-
ii. Lease liabilities	5	392	284	112
iii. Trade payables	21	-	-	-
-total outstanding dues of micro enterprises and small enterprises		215	66	36
-total outstanding dues of creditors other than micro enterprises and small enterprises		850	1,073	209
iv. Other financial liabilities	19	1,894	1,237	513
Contract liabilities	23	726	120	250
Provisions	20	90	65	64
Other current liabilities	22	90	258	169
Total current liabilities		6,864	8,433	1,353
Total liabilities		8,124	9,613	1,678
Total equity and liabilities		20,437	20,526	11,150

Material accounting policies 2.2
The accompanying notes referred to form an integral part of these standalone financial statements 1 to 50
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Synergistic Financial Networks Private Limited
U67190MH2008PTC180007

Ankit Gupta
Partner
Membership Number: 517870
Place: Gurugram
Date: 27 September 2024

Sameer Chugh
Director
DIN: 05214251
Place : Mumbai
Date: 27 September 2024

Prashant Jaju
Nominee Director
DIN: 09566330
Place : Noida
Date: 27 September 2024

Synergistic Financial Networks Private Limited

Standalone Statement of Profit and Loss for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

	Notes	Year ended 31 March 2024	Year ended 31 March 2023
Income			
m Revenue from operations	23	19,677	17,869
se Other income	24	458	300
Total income		20,135	18,169
Expenses			
T Purchases of stock-in-trade	25	6,926	8,599
Changes in inventories of stock-in-trade	26	1,393	(1,449)
sm Employee benefits expense	27	4,820	4,323
Finance costs	28	580	303
ra Depreciation and amortisation expenses	29	982	617
lo Impairment losses on trade receivables and contract assets	34	(32)	157
Other expenses	30	3,520	3,571
Total expenses		18,189	16,121
Profit before tax		1,946	2,048
Tax expense	32		
Current tax		585	559
Deferred tax		(52)	(9)
Total tax expense		533	550
Profit for the year		1,413	1,498
Other comprehensive income / (loss)			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurement of defined benefit obligations		(17)	51
Income tax relating to these items		4	(13)
Other comprehensive income / (loss) for the year, net of tax		(13)	38
Total comprehensive income for the year		1,400	1,536

Earning per equity share - Basic and Diluted (in INR) 39 72.58 76.94
(Face value of share - INR 10 each)

Material accounting policies 2.2
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For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

**For and on behalf of the Board of Directors of
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Date: 27 September 2024

Synergistic Financial Networks Private Limited

Standalone Statement of Cash flows for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

	Year ended 31 March 2024	Year ended 31 March 2023
Cash flow from operating activities		
Profit before income tax	1,946	2,048
Adjustments for :		
Depreciation and amortisation expenses	982	617
Write-off of property, plant and equipment	-	59
Impairment losses on trade receivables and contract assets	(32)	157
Interest on fixed deposits	(2)	(9)
Interest on finance lease receivable	(8)	
Interest on unsecured loans given to related parties	(399)	(280)
Finance costs	580	303
Foreign exchange loss (unrealised)	34	49
Employee share based payment expense	-	589
Unwinding of discount on security deposits	(8)	(6)
Operating profit before changes in working capital	3,094	3,527
Changes in working capital		
(Increase)/decrease in trade receivables	(167)	(4,482)
Decrease/(increase) in inventories	1,442	(1,344)
(Increase)/decrease in other financial assets	(1,152)	173
(Increase) in other non-current assets	(42)	(49)
(Increase) in other current assets	(600)	(464)
(Increase) in contract assets	(1,985)	(1,032)
Increase/(decrease) in trade payables	(74)	895
Increase in provisions	50	83
Increase in other financial liabilities	491	822
Increase/(decrease) in contract liabilities	572	(72)
(Decrease)/increase in other current liabilities	(168)	88
Cash generated/(used in) from operations	1,460	(1,855)
Income taxes paid (net of refund)	(1,011)	(962)
Net cash generated from/(used in) operating activities (A)	449	(2,817)
Cash flows from investing activities		
Payments for property, plant and equipment	(620)	(594)
Payments for intangible assets	(280)	(241)
Loans given to related parties	(1,870)	(13,905)
Loan repaid by related parties	6,152	11,362
Purchase of bank deposits	(66)	(4)
Proceeds from maturity of fixed deposits	1	-
Proceeds from sale of investment in subsidiary	10	-
Purchase of investment in subsidiary	-	(9)
Interest received	401	289
Net cash generated from/ (used in) investing activities (B)	3,728	(3,102)

Synergistic Financial Networks Private Limited

Standalone Statement of Cash flows for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

	Year ended 31 March 2024	Year ended 31 March 2023
Cash flows from financing activities		
Payment for cancellation of ESOP	-	(684)
Proceeds from borrowings	-	4,400
Repayments of borrowings	(3,000)	(1,400)
Principal payments of lease liabilities	(345)	(198)
Finance cost paid	(656)	(228)
Net cash (used in)/generated from financing activities (C)	(4,001)	1,890
Net increase/(decrease) in cash and cash equivalents, earmarked balances with banks (A+B+C)	176	(4,029)
Cash and cash equivalents at the beginning of the financial year		
Balance with banks (refer note 14)	84	294
Earmarked balances with banks (refer note 15)	130	13
Deposits with banks original maturity of less than three months (refer note 14)	-	1,681
Less: Cash credit (refer note 18)	(2,255)	-
Cash and cash equivalents, earmarked balances with banks at end of the year*	(1,865)	(2,041)
Cash and cash equivalents, earmarked balances with banks as per above comprise the following :		
Balance with banks (refer note 14)	414	84
Earmarked balances with banks (refer note 15)	327	130
Deposits with banks original maturity of less than three months (refer note 15)	-	-
Less: Cash credit (refer note 18)	(2,606)	(2,255)
Balance as per statement of cash flows	(1,865)	(2,041)

*Cash and cash equivalents are netted off with cash credit facilities that are repayable on demand which form an integral part of the Company's cash management.

Material accounting policies 2.2
The accompanying notes referred to form an integral part of these standalone financial statements 1 to 50

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Synergistic Financial Networks Private Limited
U67190MH2008PTC180007

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Partner
Membership Number: 517870
Place: Gurugram
Date: 27 September 2024

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Director
DIN: 05214251
Place : Mumbai
Date: 27 September 2024

Prashant Jaju
Nominee Director
DIN: 09566330
Place : Noida
Date: 27 September 2024

Synergistic Financial Networks Private Limited

Standalone Statement of Changes in Equity for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

I) Equity share capital

	Notes	Amounts
Balance as at 1 April 2022	16	195
Issuance of shares		-
Balance as at 31 March 2023		195
Issuance of shares		-
Balance as at 31 March 2024		195

II) Other equity

	Notes	Reserves and Surplus				Total
		Capital Redemption Reserve	Securities premium	Employee stock options outstanding	Retained earnings	
Balance as at 1 April 2022	17	400	2,845	1,021	5,011	9,277
Profit for the year		-	-	-	1,498	1,498
Other comprehensive income for the year		-	-	-	38	38
Employee compensation expense for the year		-	-	589	-	589
Balance transfer from employees stock options (refer note 43)		-	-	(1,391)	1,391	-
Transfer on cancellation of employee share options (refer note 43)		-	-	(219)	(465)	(684)
Balance as at 31 March 2023		400	2,845	-	7,473	10,718
Profit for the year		-	-	-	1,413	1,413
Other comprehensive loss for the year		-	-	-	(13)	(13)
Balance as at 31 March 2024		400	2,845	-	8,873	12,118

Material accounting policies 2.2
The accompanying notes referred to form an integral part of these standalone financial statements 1 to 50
As per our report of even date attached

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For and on behalf of the Board of Directors of
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Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

1. Reporting entity

Synergistic Financial Networks Private Limited (the 'Company') is incorporated under the provisions of the Companies Act applicable in India on 12 March 2008. The registered office of the Company is located at Sagar Tech Plaza, 801/802/803, wing A, 8th floor, Andheri Kurla road, Sakinaka, Andheri east, Mumbai-400072, Maharashtra.

The Company is principally engaged in providing services related to transaction processing, payment solutions and selling of POS (Digital checkout points) devices and providing services with respect to sale of such devices to its customers.

2.1 Basis of Preparation

i Statement of compliance

These standalone financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules, 2015 notified under Section 133 of Companies Act, 2013, (the 'Act') and other relevant provisions of the Act. These standalone financials are the Company's first standalone financial statements prepared in accordance with Indian Accounting Standards (Ind AS). Hence, Ind AS 101, First-time Adoption of Indian Accounting Standards has been applied.

These standalone financial statements are authorised for issue by the Board of Directors of the Company at their meeting held on 27 September 2024.

Details of the Company's accounting policies are set out below.

ii Basis of measurement

The standalone financial statements have been prepared on a historical cost basis, except for the following items:

- a. certain financial assets and liabilities measured at fair value where Ind AS requires a different accounting treatment (refer accounting policy regarding financial instruments).
- b. defined benefit asset/ (liability) measured at fair value of plan assets (if any) less the present value of defined benefit obligation.

iii Functional and presentation currency

The standalone financial statements are presented in Indian Rupees (INR), which is also the Company's functional currency. All amounts have been rounded-off to the nearest lakhs, unless otherwise indicated.

iv Use of estimates and judgements

In preparing these standalone financial statements, management has made judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Judgments

In the process of applying the accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the standalone financial statements:

a) Revenue from contracts with customers

The determination of gross versus net recognition of revenue requires judgment that depends on whether the Company controls the good or service before it is transferred to the merchant or whether the Company is acting as an agent of a third party in accordance with Ind AS 115. The Company has generally concluded that it is the principal in its revenue arrangements, because it typically controls the goods/services before transferring them to the client.

The Company applied judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers, such as identifying performance obligations, wherein, the Company provides multiple services as part of the arrangement. The Company allocated the portion of the transaction price to services basis its relative standalone prices.

Before including any amount of variable consideration in the transaction price, the Company considers whether the amount of variable consideration is constrained. The Company determined that the estimates of variable consideration are not constrained based on its historical experience, business forecast and the current economic conditions. In addition, the uncertainty on the variable consideration will be resolved within a short time frame.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

b) Determining lease term

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company has some property lease arrangements with its vendors that include option to renew or terminate the contract by the Company by giving advance notice or either party option to terminate the contract by either party at any time by giving advance. The Company applied judgment in evaluating whether it is reasonably certain for the Company to renew or terminate the property lease contract before the lease term. It considered all the factors that create economic incentive for the Company to continue with lease or renew or terminate including alternatives available for the office lease, use of underlying property, location of the office, leasehold improvements made and accordingly determined lease term.

The lease term is reassessed if an option is actually exercised (or not exercised) or the Company becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the lessee.

c) Income taxes

The Company's current tax provision relates to management's assessment of the amount of tax payable on open tax positions where the liabilities remain to be agreed with the relevant Tax Authority. Uncertain tax items for which a provision is made, relate principally to the interpretation of tax legislation regarding arrangements entered into by the Company. Due to the uncertainty associated with such tax items, there is a possibility that, on conclusion of open tax matters at a future date, the final outcome may differ significantly.

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. In assessing the probability, the Company considers whether the Company has sufficient taxable temporary differences relating to the same taxation authority and the same taxable entity, which will result in taxable amounts against which the unused tax losses can be utilised before they expire. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the standalone financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Loss allowance of trade receivables and contract assets

In calculating expected credit loss, the Company uses judgment in making these assumptions and selecting the inputs to expected credit loss calculation based on the Company's past history of collections, existing market conditions as well as forward looking estimates at the end of each reporting period. Management also exercises judgment in specific cases and basis past experience estimates additional impairment loss provisions. These include trade receivables associated with litigations, balances related to customer who have not transacted/ paid for more than a specific period and other reasons. Refer note 34 for further details.

b) Useful life of property, plant and equipment

The Company depreciates property, plant and equipment on a straight-line basis over the estimated useful life of the assets. The charge in respect of periodic depreciation is derived based on an estimate of an asset's expected useful life and the expected residual value at the end of its life. The life is based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology. The estimated useful life is reviewed at least annually.

c) Useful life of intangibles

The Company amortizes intangible assets on a straight-line basis over estimated useful life of the assets. The useful life is estimated based on a number of factors including the effects of obsolescence, demand, competition and other economic factors such as the stability of the industry and known technological advances and the level of maintenance expenditures required to obtain the expected future cash flows from the assets. The estimated useful life is reviewed at least annually.

d) Defined benefits plan and other long-term benefits

The obligations arising from defined benefit plan and other long-term benefits are determined on the basis of actuarial assumptions. Key actuarial assumptions include discount rate, trends in salary escalation, actuarial rates and life expectancy. The discount rate is determined by reference to market yields at the end of the reporting period on government bonds. The period to maturity of the underlying bonds correspond to the probable maturity of the employee benefit obligations. Due to complexities involved in the valuation and its long-term nature, employee benefit obligation is sensitive to changes in these assumptions. All assumptions are reviewed at each reporting period. Refer note 38 for further details.

e) Leases – Estimating the incremental borrowing rate

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate ("IBR") to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

f) Share-based payments

The employees of the Company are entitled to share options of the Parent Company. Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share options, volatility and dividend yield and making assumptions about them. For the measurement of the fair value of equity-settled with employees at the grant date and cash settled and at each reporting date until settlement, the Company uses a Black-Scholes model and Monte Carlo simulation model respectively. The assumptions and models used for estimating fair value for share-based payment transactions are disclosed in note 43.

g) Recognition and measurement of provisions and contingencies

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation. The Company is involved in various legal matters, the outcome of which may not be favourable to the Company. Management in consultation with the legal, and other advisers assess the likelihood that a pending claim will succeed. The Company has recognised liabilities based on whether additional amounts will be payable and has included contingent liabilities where economic outflows are considered possible but not probable.

v Measurement of fair values

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the standalone financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

The Company uses the following hierarchy to determine and disclose the fair value of financial instruments through the following measurement techniques:

- Level I - quoted prices in active markets for identical assets or liabilities;
- Level II - other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly; and
- Level III - techniques using inputs that have a significant effect on the recorded fair value that are not based on observable market data.

For assets and liabilities that are recognized in the standalone financial statements at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

2.2 Material accounting policies

The Company adopted Disclosure of Accounting Policies (Amendments to Ind AS 1) from April 1, 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in financial statements.

The amendments require the disclosure of 'material', rather than 'significant', accounting policies. The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity specific accounting policy information that users need to understand other information in the Financials Statements.

Management reviewed the accounting policies and made updates to the information disclosed in below material accounting policies in certain instances in line with the amendments.

A Foreign currency

i. Foreign currency transactions

The standalone financials statements are presented in Indian rupee (INR) in lakhs, which is Company's functional and presentation currency.

Transactions in foreign currencies are translated into functional currency of the Company at the exchange rates at the dates of the transactions or an average rate if the average rate approximates the actual rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary assets and liabilities that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Exchange differences are recognised profit or loss in the period in which they arise.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

B Financial Instruments

Initial recognition and measurement

Financial assets and financial liabilities are recognised in the Company's balance sheet when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value, except for trade receivables that do not have a significant financing component which are measured at transaction price. Trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under Ind AS 115 – Revenue from Contracts with Customers. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit and loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in profit or loss.

Financial assets

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.

For a financial asset to be classified and measured at amortised cost or Fair value through other comprehensive income (FVOCI), it needs to give rise to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at Fair value through profit and loss (FVPL), irrespective of the business model.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at FVOCI are held within a business model with the objective of both, holding to collect contractual cash flows and selling.

Financial assets at FVPL include financial assets held for trading, financial assets designated upon initial recognition at FVPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at FVOCI, as described above, debt instruments may be designated at FVPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Subsequent measurement

All recognised financial assets are measured subsequently in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

a) Classification, recognition and measurement of financial assets

The Company classifies its financial assets in the following measurement categories:

- Financial assets at amortised cost (debt instruments);
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments);
- Financial assets at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments); or
- Fair value through profit or loss (FVPL).

Financial assets at amortised cost (debt instruments)

Financial assets at amortised cost are subsequently measured using the effective interest rate ("EIR") method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortised cost include trade receivables, term deposits, security deposits, restricted cash and cash equivalents, interest accrued on deposits, financial lease receivables, loans to employees and other receivables.

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

Effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition.

The amortised cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any loss allowance.

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost. Interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset.

Interest income is recognised in profit and loss and is included under the head "Other income".

Financial assets at FVOCI (debt instruments)

For debt instruments at FVOCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognized in the standalone statement of profit and loss similar to financial assets measured at amortised cost. The remaining fair value changes are recognized in OCI. Upon derecognition, the cumulative fair value change recognized in OCI is recycled to profit or loss.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Financial assets at FVOCI (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at FVOCI when they meet the definition of equity under Ind AS 32 – Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in the standalone statement of profit and loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

Financial assets at FVPL

Financial assets at fair value through profit or loss are carried in the standalone balance sheet at fair value with net changes in fair value recognised in the standalone statement of profit and loss in other income.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the Company's balance sheet) when:

- The contractual rights to receive cash flows from the asset have expired; or
- The Company has transferred its contractual rights to receive cash flows from the asset or has assumed a contractual obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) the Company has transferred substantially all the risks and rewards of the asset, or
 - (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Company has transferred its contractual rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognize the transferred asset to the extent of its continuing involvement.

In that case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

b) Impairment of financial assets

The Company recognises a loss allowance for expected credit losses ('ECL') on trade receivables and contract assets. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

For trade receivables and contract assets, the Company applies a simplified approach in calculating ECL, whereby a loss allowance is computed based on lifetime ECL at each reporting date. The Company has established a flow rate approach that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the receivables and the economic environment.

Management also exercises judgment in specific cases and basis past experience makes additional impairment loss provisions. These include trade and other receivables associated with litigations, balances related to customer who have not transacted/ paid for more than a specific period and other reasons.

Measurement and recognition of expected credit losses

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, computed by using a loss rate.

The Company recognises an impairment gain or loss in standalone statement of profit and loss for all financial instruments with a corresponding adjustment to their carrying amount through a loss allowance account.

c) Write off policy

The Company writes off a financial asset when there is information indicating that the receivables are in severe financial difficulty and there is no realistic prospect of recovery. Financial assets written off may still be subject to enforcement activities under the Company's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in standalone statement of profit and loss.

Financial liabilities and equity

a Classification as debt or equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognized at the proceeds received, net of direct issue costs.

Repurchase of the Company's own equity instruments is derecognized and deducted directly in equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

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Compound instruments

The component parts of convertible instruments issued by the Company are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for a similar non-convertible instrument. This amount is recorded as a liability on an amortised cost basis using the effective interest method until extinguished upon conversion or at the instrument's maturity date.

The conversion option classified as equity is determined by deducting the amount of the liability component from the fair value of the compound instrument as a whole. This is recognised and included in equity, net of income tax effects, and is not subsequently remeasured. In addition, the conversion option classified as equity will remain in equity until the conversion option is exercised, in which case, the balance recognised in equity will be transferred to retained earnings (accumulated losses). Where the conversion option remains unexercised at the maturity date of the convertible loan note, the balance recognised in equity will be transferred to retained earnings. No gain or loss is recognised in profit or loss upon conversion or expiration of the conversion option.

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, amortised cost or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of amortised cost, net of directly attributable transaction costs.

The Company's financial liabilities include, trade and other liabilities, loans and financing including cash credit facilities from banks.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at FVPL

Financial liabilities at FVPL include financial liabilities held for trading and financial liabilities designated upon initial recognition as at FVPL.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term.

Gains or losses on liabilities held for trading are recognized in the standalone statement of profit and loss.

Financial liabilities designated upon initial recognition at FVPL are designated at the initial date of recognition, and only if the criteria in Ind AS 109 are satisfied. This category includes only derivative financial instruments.

Financial liabilities at amortised cost

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process. This category is the most relevant to the Company.

Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the standalone statement of profit and loss.

Derecognition

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

C Property, plant and equipment

All items of property, plant and equipment, are initially recorded at cost. Subsequent to recognition, property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost includes directly attributable expenses incurred to bring the asset to the location and condition necessary for it to be capable of being operated in the manner intended by management and initial estimate of decommissioning, restoring and similar liabilities.

Subsequent costs related to an item of property, plant and equipment are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognized when replaced. All other repairs and maintenance are recognized in the standalone statement of profit and loss during the reporting period when they are incurred.

Transition to Ind AS

On transition to Ind AS, the Company has elected to continue with the carrying value of all of its property, plant and equipment recognised as of 1 April 2021, measured as per the previous GAAP, and use that carrying value as the deemed cost of such property, plant and equipment.

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Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Depreciation methods, estimated useful life and residual value

Depreciation on property, plant and equipment is calculated on a straight line basis using the rates arrived at based on the useful life estimated by the management. The Company has used the following rates to provide depreciation on its property, plant and equipment:

Particulars	Useful life estimated by the management (in years)	Useful life as per schedule III (in years)
Furniture and fixtures	10	10
Plant and machinery	5	5
Office equipment	5	5
Computers	3	3
Servers and networks	6	6
Vehicles	3	6

Leasehold improvements are depreciated over lower of lease term.

Capital work-in-progress includes cost of property, plant and equipment under installation/under development as at the balance sheet date and are not depreciated as these assets are not yet available for use.

The useful life and depreciation method are reviewed at each financial year-end to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of property, plant and equipment. The effect of changes in estimates, if any, is taken on a prospective basis.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the standalone statement of profit and loss.

D Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in profit and loss in the period in which the expenditure is incurred.

Software and development cost

Certain direct development costs associated with internally developed software and software enhancements of the Company technology platform are capitalized. Capitalized costs, which occur post determination by management of technical feasibility, include external services and internal payroll costs. These costs are recorded as intangible assets when development is complete and the asset is ready for use, and are amortised on a straight-line basis, generally over a period of 3 to 5 years. Development activities involve a plan or design for the production of new or substantially improved products and processes. Development expenditure is capitalized only if development costs can be measured. Research and pre-feasibility development costs, as well as maintenance and training costs, are expensed as incurred. In certain circumstances, management may determine that previously developed software and its related expense no longer meets management's definition of feasible, which could then result in the impairment of such asset. Incidental operations are not necessary to bring an asset to the condition necessary for it to be capable of operating in the manner intended by management, the income and related expenses of incidental operations are recognized immediately in profit or loss, and included in their respective classifications of income and expense.

Transition to Ind AS

On transition to Ind AS, the Company has elected to continue with the carrying value of all its intangible assets recognised as at 1 April 2022, measured as per the provisions of previous GAAP and use that carrying value as the deemed cost of intangible assets.

The useful life of intangible assets are assessed as either finite or indefinite.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in standalone statement of profit and loss, when the asset is derecognized.

The estimated useful life and amortization method are reviewed at the end of each reporting period.

Amortization is recognized on a straight-line basis over their estimated useful life which are as follows:

Particulars	Useful life estimated by the
Computer software	3-4
Technology	3-5

E Leases

The Company as Lessee:

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognizes a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets (such as office equipment). For these leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed.

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Lease liabilities

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Company uses its incremental borrowing rate, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Company, where possible, uses recent bank borrowings obtained by the individual lessees as a starting point, adjusted to reflect changes in financing conditions since the borrowing was received.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- The amount expected to be payable by the lessee under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is presented as a separate line in the standalone balance sheet.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.
- The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which case the lease liability is remeasured by discounting the revised lease payments using an unchanged discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revised discount rate is used).
- A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

Right-of-use assets

Right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement date, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Whenever the Company incurs an obligation for costs to dismantle and remove a leased asset, restore the site on which it is located or restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognised and measured under Ind AS 37. To the extent that the costs relate to a right-of use asset, the costs are included in the related right-of-use asset, unless those costs are incurred to produce inventories.

Right-of-use assets are depreciated over the period of the lease term. If a lessor transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Company expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset.

The Company applies Ind AS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

The Company as lessor:

The Company determines at lease inception whether each lease is a finance lease or an operating lease. To classify each lease, the company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset. In the case of a finance lease, where the company is a dealer lessor, it recognises revenue at the commencement date at the fair value of the underlying asset, or, if lower, the present value of the lease payments accruing to the lessor, discounted using a market rate of interest.

If an arrangement contains lease and non-lease components, then the Company applies IND AS 115 to allocate the consideration in the contract.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

F Impairment of non-financial assets

Intangible assets, property, plant and equipment and right-of-use assets

At each reporting date, the Company reviews the carrying amounts of its property, plant and equipment, intangible assets and right-of-use assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss to the extent that it eliminates the impairment loss which has been recognised for the asset in prior years.

G Inventories

Inventories are stated at the lower of cost and net realisable value. Costs comprise purchase cost, direct overheads incurred (as applicable), in bringing the inventories to their present location and condition. Inventory is valued on weighted average cost basis. Net realisable value is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale.

Where necessary, allowance is provided for damaged, obsolete and slow-moving items to adjust the carrying value of inventories to the lower of cost and net realisable value.

H Employee benefits

Employee benefits include provident fund, employee state insurance scheme, gratuity, compensated absences and other incentives to employees.

a. Post-employment and termination benefit costs

Payments to defined contribution retirement benefit plans, such as provident fund and employee state insurance scheme, are recognised as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans such as gratuity, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements comprising actuarial gains and losses are recognised immediately in the balance sheet with a charge or credit to other comprehensive income in the period in which they occur. Remeasurements recognised in other comprehensive income are not reclassified. Past service cost is recognised in profit and loss when the plan amendment or curtailment occurs. Gains or losses on settlement of a defined benefit plan are recognised when the settlement occurs. Net interest is calculated by applying a discount rate to the net defined benefit liability or asset. Defined benefit costs are split into three categories:

- service costs, which includes current service cost, past service cost and gains and losses on curtailments and settlements
- interest expense or income; and
- remeasurements.

The Company recognises service costs within standalone statement of profit and loss as salaries, wages and bonus expenses under employee benefits expense.

Net interest expense or income is recognised within employee benefits expense.

b. Short term and other long-term employee benefits

A liability is recognised for benefits accruing to employees in respect of salaries, annual leave and sick leave, performance incentives etc. in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Liabilities recognised in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

Accumulated leave, which is expected to be utilized within the next twelve months, is treated as short-term employee benefit.

The Company treats accumulated leave and long-term service award expected to be carried forward beyond twelve months, as long-term employee benefit for measurement purposes. Such long-term compensated absences and long-term service award are provided for based on the actuarial valuation using the projected unit credit method at the year-end. Actuarial gain/loss are immediately taken to the standalone statement of profit and loss and are not deferred.

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c. Share-based payments

The employees of the Company have been granted stock options by Pine Labs Limited, the Parent Company.

The Company recognizes and measures compensation expense for all share-based awards based on the grant date fair value as per Ind AS 102, share based payments. For option awards, grant date fair value is determined under the option-pricing model (Black-Scholes-Method). The Company recognizes compensation expense for share based awards net of estimated forfeitures. Share-based compensation recognized in the standalone Statement of Profit and Loss is based on options ultimately expected to vest. As a result, the expense has been reduced for estimated forfeitures. Forfeitures are estimated at the time of grant and revised, if necessary, in subsequent periods if actual forfeitures differ from those estimates. The cost is recognised, together with a corresponding increase in liability towards payable to Parent Company, over the period in which the performance and/or service conditions are fulfilled in employee share option expense under employee compensation. The movement in cumulative expense recognised as at the beginning and end of that period is recognised in employee share based payment expense under employee compensation in the standalone statement of profit and loss.

I Provisions and contingent liabilities

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the standalone statement of profit and loss net of any reimbursement.

Contingent liability

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:

- (i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- (ii) The amount of the obligation cannot be measured with sufficient reliability.

The Company does not recognise a contingent liability but discloses its existence in the standalone financial statements.

J Revenue from contract with customer

Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services.

For the purpose of revenue recognition, the Company determines whether revenue should be recognized on a gross or net basis, which depends on which party controls the good or service before it is transferred to the customer, and whether the Company is acting as a principal or an agent to the transaction. The assessment is performed separately for each performance obligation identified.

No significant element of financing is deemed present as the sales are made with credit terms consistent with market practice.

The Company derives revenue primarily from the following major sources:

- A. Sales of POS(Digital Checkout Points) Devices
- B. Sales of Services

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Sales of POS(Digital Checkout Points) Devices

Revenues from sales of devices is recognized when performance obligation has been satisfied which has been determined to be upon the delivery of the product and are recognised net of trade discounts, rebates and taxes.

Sales of Services

Transaction and processing services revenue is comprised of: 1) fees calculated based on percentage of the monetary value of transaction processed; 2) fees calculated based on number of transactions processed; 3) fixed monthly amounts; 4) combinations thereof that are associated with transaction and processing services. The Company typically contracts with financial institutions, merchants, or affiliates of those parties. Contracts stipulate the types of processing services and articulate how fees will be incurred and calculated.

The Company's core performance obligations are to stand ready to provide continuous access to electronic payment and transaction processing services in order to be able to process as many transactions as clients require on a daily basis over the contract term and the consideration received is contingent upon the clients' use (i.e., number of payment transactions processed, number of cards on file, etc.); as such, the total transaction price is variable. These services are stand ready obligations, as the timing and quantity of transactions to be processed is not determinable. Under a stand-ready obligation, the performance obligation is defined by each time increment rather than by the underlying activities satisfied over time based on days elapsed. Because the service of standing ready is substantially the same each day and has the same pattern of transfer to the client, the Company has determined that its stand-ready performance obligation comprises a series of distinct days of service. The performance obligation to stand ready to provide continued access to transaction and processing services is satisfied equally over time and therefore, the progress is measured on a time basis. Transaction based fee represents variable consideration for which the criteria for permitting allocation of the variable consideration to distinct days of service that forms part of the single performance obligation are met, namely:

- the terms of the variable payment relate specifically to its efforts to satisfy the distinct service on a particular day (i.e. it reflects the number of transactions processed on particular day); and
- allocating the variable amount of consideration entirely to the distinct service on a particular day is consistent with the allocation objective when considering all of the performance obligations and payment terms in the contract.

Fees for transaction and processing services are recognized each day based on the volume or transaction count at the time the merchants' transactions are processed. In case of fixed monthly amounts, revenue is recognised as and when it is accrued based on the contractual rates agreed with customers.

Deferred revenue

The Company records deferred revenue when it receives services fees in advance of transferring control of promised goods or services to a customer. A significant portion of this balance relates to service contracts where the Company received services fees from customers for upfront subscription based and other services (as mentioned above) which do not transfer value to the customer but rather are used in fulfilling the related performance obligations that transfer over time.

The service fees received is deferred over the contract term or longer period if it provides the customer a material right. The deferred revenue is recognized when underlying performance obligations are delivered.

Contract balances

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section 2.2.B of Financial instruments.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognized when the payment is made, or the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Company performs its obligations under the contract. Contract liability comprises "advance from customers and "Deferred revenue" in the standalone financial statements.

Contract assets

A contract asset is the right to consideration in exchange of goods or services transferred to the customer. If the Company performs its obligations by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration excluding any amounts presented as a receivable.

K Recognition of interest income or expense

Interest income or expense is recognised using the effective interest method.

The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

L Income taxes

The income tax expense represents the sum of the current tax and deferred tax.

Current income tax

The primary tax jurisdiction of the Company is India. The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in profit or loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

A provision is recognized for those matters for which the tax determination is uncertain, but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Company supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans for the Company. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries, except where the Company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments are only recognised to the extent that it is probable that there will be sufficient taxable profits to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised based on tax laws and rates that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Current tax and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

M Cash and cash equivalents

Cash and cash equivalents in the standalone balance sheet comprises cash at bank and on hand, deposits and other short-term highly liquid investments with an original maturity of three months or less that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

N Earnings per share

Basic earnings (loss) per share is computed using the weighted average number of equity shares outstanding during the period. Diluted earnings (loss) per share is computed using the weighted-average number of equity and dilutive equivalent shares outstanding during the period, except where the results would be anti-dilutive.

The number of equity shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024 (Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

O Borrowing costs

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. Borrowing costs incurred for the period from commencement of activities relating to construction/ development of the qualifying asset up to the date of capitalisation of such asset are added to the cost of the asset. All other borrowing costs are expensed in the period in which they occur.

In case of a specific borrowing taken for the purpose of acquisition, construction or production of a qualifying asset, the borrowing costs capitalised shall be the actual borrowing costs incurred during the period less any interest income earned on temporary investment of specific borrowing pending expenditure on qualifying asset.

In case funds are borrowed generally and such funds are used for the purpose of acquisition, construction or production of a qualifying asset, the borrowing costs capitalised are calculated by applying the weighted average capitalisation rate on general borrowings outstanding during the period, to the expenditures incurred on the qualifying asset.

If any specific borrowing remains outstanding after the related asset is ready for its intended use, that borrowing is considered part of the funds that are borrowed generally for calculating the capitalisation rate.

P Rounding of amounts

All amounts disclosed in the financial statements and notes have been rounded off to the nearest lakhs as per the requirement of Schedule III, unless otherwise stated.

Q Current versus non-current classification

The Company presents assets and liabilities in the standalone balance sheet based on current/non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing/servicing and their realisation in cash and cash equivalents. The Company has identified a period less than twelve months as its operating cycle.

R Share capital and share issuance expenses

Proceeds from issuance of equity shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of equity shares are deducted against share capital, if any.

- S** The Company has adopted applicable amendments effective from 1 April 2023 with respect to Ind AS 1-Presentation of Financial Statements, Ind AS 12-Income Taxes and Ind AS 8-Accounting Policies, Changes in Accounting Estimates and Errors. The Company has evaluated that there is no significant impact of such applicable amendments on the standalone financial statements year ended 31 March 2024.

2.3 Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the period commencing 1 April 2024, MCA has not notified any new standards or amendments to the existing standards applicable to the Company.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

3 Property, plant and equipment and capital work-in-progress

	Leasehold improvements	Plant and machinery (Refer note 2 below)	Office equipment	Furniture and fixtures	Vehicles	Computers	Servers and Networks	Total	Capital work-in-progress (CWIP)
Cost									
Balance as at 1 April 2022 (Deemed cost)	87	135	37	9	13	137	95	513	-
Additions	282	105	40	2	-	113	37	579	-
Disposals	-	(2)	-	-	-	-	-	(2)	-
Transfer	-	-	-	-	-	(25)	-	(25)	-
Balance as at 31 March 2023	369	238	77	11	13	225	132	1,065	-
Accumulated depreciation									
Balance as at 1 April 2022	-	-	-	-	-	-	-	-	-
Depreciation for the year	54	46	15	1	5	80	25	226	-
Transfer	-	-	-	-	-	(18)	-	(18)	-
Balance as at 31 March 2023	54	46	15	1	5	62	25	208	-
Net carrying amount as at 1 April 2022	87	135	37	9	13	137	95	513	
Net carrying amount as at 31 March 2023	315	192	62	10	8	163	107	857	-
Cost									
Balance as at 1 April 2023	369	238	77	11	13	225	132	1,065	-
Additions	152	49	43	-	-	199	315	758	11
Balance as at 31 March 2024	521	287	120	11	13	424	447	1,823	11
Accumulated depreciation									
Balance as at 1 April 2023	54	46	15	1	5	62	25	208	-
Depreciation for the year	143	59	24	1	5	108	56	396	-
Balance as at 31 March 2024	197	105	39	2	10	170	81	604	-
Net carrying amount as at 31 March 2024	324	182	81	9	3	254	366	1,219	11

Note:

1. Refer note 42 for disclosure of capital commitments for acquisition of property, plant and equipment.
2. The Company has given Mobile point of sale devices on operating lease. All the assets are in the physical custody of its customers across various part of the country. The Company obtains confirmation from the customer on a sample basis to confirm existence of these assets and considers those to be adequate considering the voluminous/low nature of these assets.
3. The Company has used deemed cost exemption under Ind AS 101 as on the date of transition to Ind AS. (Refer note 44)

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Ageing of capital work-in-progress is as below

As at 31 March 2024	Amount in CWIP for a period of				Total
Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	11	-	-	-	11

As at 31 March 2023	Amount in CWIP for a period of				Total
Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	-	-	-	-	-

As at 1 April 2022	Amount in CWIP for a period of				Total
Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	-	-	-	-	-

Note :

1. There are no projects above which have been temporarily suspended.
2. There are no projects above whose completion is over due or has exceeds its cost compared to its original plan.

Deemed cost is calculated as follows:-

	Leasehold improvements	Plant and machinery	Office equipment	Furniture and fixtures	Vehicles	Computers	Servers and Networks	Total
Gross block as at 1 April 2022	89	328	75	16	14	336	204	1,062
Accumulated depreciation as at 1 April 2022	2	193	38	7	1	199	109	549
Deemed cost as at 1 April 2022	87	135	37	9	13	137	95	513

4 Intangible assets and intangible assets under development

Particulars	Computer software	Technology	Total intangible assets	Intangible assets under development
Balance as at 1 April 2022 (Deemed cost)				
Opening gross carrying amount	100	231	331	150
Additions	63	22	85	156
Disposals/written off	-	-	-	(57)
Transfers	25	-	25	-
Balance as at 31 March 2023	188	253	441	249
Accumulated amortisation				
Balance as at 1 April 2022	-	-	-	-
Amortisation for the year	48	98	146	-
Transfers	17	-	17	-
Balance as at 31 March 2023	65	98	163	-
Net carrying amount as at 1 April 2022	100	231	331	150
Net carrying amount as at 31 March 2023	123	155	278	249
Balance as at 1 April 2023				
Opening gross carrying amount	188	253	441	249
Additions	184	-	184	96
Transfers	-	293	293	(293)
Balance as at 31 March 2024	372	546	918	52
Accumulated amortisation				
Balance as at 1 April 2023	65	98	163	-
Amortisation for the year	71	111	182	-
Balance as at 31 March 2024	136	209	345	-
Net carrying amount as at 31 March 2024	236	337	573	52

Note:

1. The Company has used deemed cost exemption under Ind AS 101 as on the date of transition to Ind AS. (Refer note 44)

Ageing of intangible assets under development is as below**As at 31 March 2024**

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Project in progress :					
Vista Solution	20	-	-	-	20
Oracle - Accounting Software	18	14	-	-	32
Total	38	14	-	-	52

As at 31 March 2023

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Project in progress :					
Mosambee platform - Core System	92	71	72	-	235
Oracle - Accounting Software	14	-	-	-	14
Total	106	71	72	-	249

As at 1 April 2022

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Project in progress :					
Mosambee platform - Core System	71	72	-	-	143
Samosa pay (Wallet)	7	-	-	-	7
Total	78	72	-	-	150

Note:

- There are no assets / projects which has become overdue compared to their original plans or where cost is exceeded compared to original plans.
- There are no projects above which have been temporarily suspended.

Deemed cost is calculated as follows:-

	Computer software	Technology	Total intangible assets	Intangible assets under development
Gross block as at 1 April 2022	160	440	600	150
Accumulated depreciation as at 1 April 2022	60	209	269	-
Deemed cost as at 1 April 2022	100	231	331	150

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

5 Leases

This note provides information for leases where the Company is a lessee. The Company has taken certain commercial spaces on lease for office premises and certain vehicles. Lease contracts are typically entered for a term of 2 years to 6 years, including extension options.

Extension and termination options

Extension and termination options are included in a number of leases. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The Company has some property lease arrangements that include option to renew or terminate the contract by either party by giving advance notice.

Right of use assets

Particulars	Building	Vehicles	Total
Cost			
Balance as at 1 April 2022	-	-	-
Transition impact of Ind AS 116	260	-	260
Additions	901	124	1,025
Balance as at 31 March 2023	1,161	124	1,285
Accumulated depreciation			
Balance as at 1 April 2022	-	-	-
Charge for the year	242	3	245
Balance as at 31 March 2023	242	3	245
Net carrying amount as at 1 April 2022	260	-	260
Net carrying amount as at 31 March 2023	919	121	1,040
Cost			
Balance as at 1 April 2023	1,161	124	1,285
Additions	450	76	526
Balance as at 31 March 2024	1,611	200	1,811
Accumulated depreciation			
Balance as at 1 April 2023	242	3	245
Charge for the year	368	36	404
Balance as at 31 March 2024	610	39	649
Net carrying amount as at 31 March 2024	1,001	161	1,162

Refer note 44 on transition of first time adoption of Ind AS

b) Lease liabilities

The Company's lease asset classes primarily consist of leases for office premise and vehicles. The Company assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognises a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease. The leases have been entered for a period ranging from 2 to 6 years. The Company has the option, to renew the lease for additional years on mutual consent basis.

The Company adopted Ind AS 116 "Leases" and applied the standard to all lease contracts existing on 1 April 2022 using full retrospective method. Consequently, the Company recorded the lease liability at the present value of the lease payments discounted at the incremental borrowing rate and the right of use asset at its carrying amount as if the standard had been applied since the commencement date of the lease, but discounted at the Company's incremental borrowing rate at the date of initial application.

The following is the summary of practical expedients elected on initial application:

1. Applied a single discount rate to a portfolio of leases of similar assets in similar economic environment with a similar end date
2. Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application.
3. Applied the practical expedient to grandfather the assessment of which transactions are leases.

The weighted average incremental borrowing rate applied to lease liabilities as at 1 April 2022 is 8.85%

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

(i) Amounts recognised in standalone balance sheet:

	As at 31 March 2024	As at 31 March 2023	As at 01 April 2022
Balance as at 1 April	1,062	-	-
Transition impact of Ind AS 116	-	255	255
Additions	509	1,005	-
Accretion of interest	104	58	-
Payments*	(449)	(256)	-
Balance as at 31 March	1,226	1,062	255

* This represents total cash outflow for leases during the year.

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Current	392	284	112
Non-current	834	778	143
	1,226	1,062	255

Contractual maturities of lease liabilities on as undiscounted basis are as given below:

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Not later than one year	486	366	133
Later than one year and not later than five years	891	885	163
Later than five years	42	-	-
	1,419	1,251	296

Amounts recognised in the standalone statement of profit and loss

	Year ended 31 March 2024	Year ended 31 March 2023
Depreciation charge on right-of-use assets (refer note 29)	404	245
Interest expense (included in finance costs (refer note 28)	104	58
Expense related to short-term leases (included in other expenses refer note 30)*	18	28

*** Short term leases**

Short term leases include certain leases of office spaces with a lease term of 12 months or less.

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Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

6 Investment

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Investments in equity instruments			
Investment in equity shares of subsidiaries carried at amortised cost			
47,555,516 equity shares (31 March 2023: 47,555,516, 1 April 2022: 47,555,516) of INR 10 each fully paid-up held in Cashless Technologies India Private Limited	1,928	1,928	1,928
Nil (31 March 2023: 100,000, 1 April 2022: 10,000) of INR 10 each fully paid-up held in Grapefruit Payment Solutions Private Limited*	-	10	1
Non-current investments	1,928	1,938	1,929

*During the year, on 14 June 2023, the Company has sold its 100% shareholding in Grapefruit Payment Solutions Private Limited to Pine Labs Private Limited (fellow subsidiary) for a consideration of INR 10 lakhs.

7 Loans

(unsecured, considered good)

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Loans to related parties (refer note 37)#	7	4,289	1,746
Total loans - current	7	4,289	1,746

refer below for terms of loans.

Loans given to related parties include :

i) Loan to Cashless Technologies India Private Limited (CTIPL) for instant cashback reimbursed to merchants which have been repaid during the year on receipt of collection from banks & brands.

ii) Loan given to Grapefruit Payment Solutions Private Limited for working capital purposes.

These loans carries a rate of interest at 9% p.a. for the year ended 31 March 2024 (31 March 2023: 9% p.a. and 1 April 2022: 7% p.a.). These loans are repayable on demand.

8 Other financial assets

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Non-current			
Security deposits (Refer note a below)	131	119	37
Financial lease receivable	886	-	-
Total other financial assets - non current	1,017	119	37
Current			
Security deposits (Refer note a below)	40	4	35
Interest accrued on loans to related parties (refer note 37)	3	57	27
Financial lease receivable	257	-	-
Receivable from related parties (refer note 37)	-	-	257
Other receivables	15	1	12
Total other financial assets - current	315	62	331

Note

a) Security deposits represent amount paid as deposit to landlords for the leased premises.

9 Income tax assets

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Non-current			
Advance income-tax (net of provision for taxation)	687	261	302
Income tax paid under protest	444	444	-
Total non- current income tax assets	1,131	705	302

10 Inventories (at lower of cost or net realisable value)

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Traded goods	299	1,757	444
Spares and consumables	47	31	-
Total inventories	346	1,788	444

The write-downs of inventories to net realisable value amounted to Nil for year ended 31 March 2024 (31 March 2023: Nil, 1 April 2022: Nil).

11 Other assets

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Non-current			
<i>Unsecured - considered good</i>			
Prepayments	86	49	-
Balance with government authorities	5	-	-
Total other assets - non-current	91	49	-
Current			
<i>Unsecured - considered good</i>			
Prepayments	194	191	37
Balance with government authorities	14	-	-
Advance to employees	13	12	1
Advance to vendors	1,373	790	492
Total other current assets	1,594	993	530

12 Deferred tax assets (net)

As at As at As at

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Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

	31 March 2024	31 March 2023	1 April 2022
Components of deferred tax assets/(deferred tax liabilities)			
Property, plant and equipment	101	68	85
Lease liabilities	309	267	64
Right to use	(293)	(262)	(65)
Employee benefit expense disallowed, excluding employee share option expense	86	69	102
Provision for doubtful debts and advances	39	50	5
Others	6	-	5
Total deferred tax assets (net)	248	192	196

Components of deferred tax assets/(deferred tax liabilities)

	Property, plant and equipment including leases and other intangibles	Lease liabilities	Right to use	Employee benefit expense disallowed, excluding employee share option expense	Provision for doubtful debt and advances	Others	Total
At 1 April 2022	85	64	(65)	102	5	5	196
(Charged)/credited:							
- to profit or loss	(17)	203	(197)	(20)	45	(5)	9
- to other comprehensive income	-	-	-	(13)	-	-	(13)
At 31 March 2023	68	267	(262)	69	50	-	192
(Charged)/credited:							
- to profit or loss	33	42	(31)	13	(11)	6	52
- to other comprehensive income	-	-	-	4	-	-	4
At 31 March 2024	101	309	(293)	86	39	6	248

Deferred income tax assets and deferred income tax liabilities have been offset wherever the Company has a legally enforceable right to set off current income tax assets against current income tax liabilities and where the deferred income tax assets and deferred income tax liabilities relate to income taxes levied by the same taxation authority.

13 Trade receivables

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
(Unsecured)			
Trade receivables (considered good)	6,403	6,204	1,879
Trade receivables (credit impaired)	156	191	40
Less: Loss allowance	(156)	(191)	(40)
Net trade receivables	6,403	6,204	1,879

Notes:

- Trade receivables are non-interest bearing and are generally on 0 to 90 days terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.
- Information about the Company's exposure to credit risk, foreign currency, market risks and impairment losses for trade receivables is included in (refer note 34).
- A portion of trade receivables amounting to INR 99 lakhs and Nil includes receivables from related parties as at 31 March 2024, 31 March 2023 and 1 April 2022 respectively. (refer note 37)

Trade receivables ageing schedule

As at 31 March 2024	Outstanding for following period from due date of payments						Total
Particulars	Not due	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables- considered good	2,293	2,243	1,698	-	-	-	6,234
Undisputed trade receivables- credit impaired	21	57	7	13	15	43	156
	2,314	2,300	1,705	13	15	43	6,390
Trade receivables- Unbilled							169
							6,559
Less: Allowance for credit losses							156
Total trade receivables							6,403

As at 31 March 2023	Outstanding for following period from due date of payments						Total
Particulars	Not due	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables- considered good	2,101	3,830	35	-	-	-	5,966
Undisputed trade receivables- credit impaired	-	96	12	43	23	17	191
	2,101	3,926	47	43	23	17	6,157
Trade receivables- Unbilled							238
							6,395
Less: Allowance for credit losses							191
Total trade receivables							6,204

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

As at 1 April 2022		Outstanding for following period from due date of payments					
Particulars	Not due	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	Total
Trade receivables - Billed							
Undisputed trade receivables- considered good	-	1,742	21	5	-	-	1,768
Undisputed trade receivables- credit impaired	-		0	23	5	12	40
	-	1,742	21	27	5	12	1,808
Trade receivables- Unbilled							
							111
							1,919
Less: Allowance for credit losses							40
Total trade receivables							1,879

The Company sold with recourse trade receivables to a bank for cash proceeds. These trade receivables have not been derecognised from the balance sheet, because the Company retains substantially all of the risks and rewards – primarily credit risk. The amount received on transfer has been recognised as a secured bank loan (see Note 18). The arrangement with the bank is such that the customers remit cash directly to the Company and the Company transfers the collected amounts to the bank.

The receivables are considered to be held within a held-to-collect business model consistent with the Company's continuing recognition of the receivables.

The following information shows the carrying amount of trade receivables at the reporting date that have been transferred but have not been derecognised and the associated liabilities.

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Carrying amount of trade receivables transferred to a bank	2,589	997	-
Carrying amount of associated liabilities	2,589	997	-
14 Cash and cash equivalents			
	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Balances with banks	414	84	294
Deposits with banks original maturity of less than three months	-	-	1,681
Total cash and cash equivalents	414	84	1,975
15 Other bank balances			
	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Earmarked balances with banks*	327	130	13
Deposits with banks original maturity of more than three months but less than twelve months	68	4	-
Total other bank balances	395	134	13

*The Company uses a nodal account to receive money through debit/credit card and net banking transactions towards all transactions happening on its system, as well as to settle the respective merchants. Amount received in these accounts, which are payable to merchants for settlement are restricted, and cannot be used for general purposes.

Synergistic Financial Networks Private Limited
Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

16 Share capital

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Authorised share capital			
3,150,000 (31 March 2023 : 3,150,000, 1 April 2022 : 3,150,000) equity shares of INR 10 each	315	315	315
400,000 (31 March 2023 : 400,000, 1 April 2022 : 400,000) 1% optionally convertible preference shares of INR 100 each	400	400	400
Issued, subscribed and fully paid up shares			
1,946,791 (31 March 2023 : 1,946,791, 1 April 2022 : 1,946,791) equity shares of INR 10 each (fully paid up)	195	195	195
	195	195	195

(a) Reconciliation of number of shares and amount outstanding at the beginning and at the end of the reporting year

	As at 31 March 2024		As at 31 March 2023	
	Number of shares	Amount	Number of shares	Amount
Equity shares				
Number of shares at beginning of the year	19,46,791	195	19,46,791	195
Add : Shares issued during the year	-	-	-	-
Number of shares at the end of the year	19,46,791	195	19,46,791	195

(b) Terms and rights attached to equity shares

The Company has only one class of equity shares having a par value of INR 10 per share. Each shareholder of equity shares is entitled for one vote per share held. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend.

In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

(c) Shares of the company held by Parent company

	As at 31 March 2024		As at 31 March 2023		As at 1 April 2022	
	Number of shares	Amount	Number of shares	Amount	Number of shares	Amount
Equity shares						
Pine Labs Limited	17,20,127	172	15,59,864	156	-	-

(d) Details of shareholders holding more than 5% equity shares in the Company

	As at 31 March 2024		As at 31 March 2023		As at 1 April 2022	
	Number of shares	% Holding	Number of shares	% Holding	Number of shares	% Holding
Equity shares						
Pine Labs Limited	17,20,127	88.36%	15,59,864	80.12%	-	-
Mr. Alok Arora	-	-	1,41,088	7.25%	2,53,338	13.01%
Mr. Bhushan Thaker	-	-	1,43,263	7.36%	2,42,013	12.43%
Mr. Sameer Chugh	-	-	-	-	2,42,014	12.43%
SIDBI Trustee Company Limited A/c India Opportunities Fund	-	-	-	-	5,91,122	30.36%
Rajasthan Trustee Company Private Limited A/C SME Tech Fund	-	-	-	-	3,03,926	15.61%

(e) Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at 31 March 2024 is as follows:

	As at 31 March 2024		As at 31 March 2023		% Change during the year
	Number of shares	% Holding	Number of shares	% Holding	
Equity shares					
Pine Labs Limited	17,20,127	88.36%	15,59,864	80.12%	8.23%
Mr. Alok Arora	70,544	3.62%	1,41,088	7.25%	-3.62%
Mr. Bhushan Thaker	71,632	3.68%	1,43,263	7.36%	-3.68%
Mr. Sameer Chugh	84,488	4.34%	84,488	4.34%	0.00%

Disclosure of shareholding of promoters as at 31 March 2023 is as follows:

	As at 31 March 2023		As at 1 April 2022		% Change during the year
	Number of shares	% Holding	Number of shares	% Holding	
Equity shares					
Pine Labs Limited	15,59,864	80.12%	-	-	80.12%
Mr. Alok Arora	1,41,088	7.25%	2,53,338	13.01%	-5.77%
Mr. Bhushan Thaker	1,43,263	7.36%	2,42,013	12.43%	-5.07%
Mr. Sameer Chugh	84,488	4.34%	2,42,014	12.43%	-8.09%

(f) Details of shares issued for consideration other than cash for last 5 years immediately preceding 31 March 2024

(i) 67,915 equity shares of INR 10 each were issued to the erstwhile shareholders of Cashless Technologies India Private Limited pursuant to the shares swap agreement executed on 18 September, 2021 without payment being received in cash. (Refer note 46)

(ii) 11,895 equity shares were issued in the last 5 years under the employee stock options plan as consideration for services rendered by employees.

(g) Shares allotted as fully paid up by way of bonus shares during 5 years immediately preceding 31 March 2024

Nil Equity shares were issued during the 5 years immediately preceding 31 March 2024 by way of bonus shares.

(h) Shares reserved for issue under options

Refer note 43 for cancellation of Employee Stock Option Plan.

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

17 Other equity

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Reserve and Surplus			
Capital Redemption Reserve	400	400	400
Securities premium	2,845	2,845	2,845
Employee stock options outstanding	-	-	1,021
Retained earnings	8,873	7,473	5,011
Other equity	12,118	10,718	9,277

a) Capital Redemption Reserve

	As at 31 March 2024	As at 31 March 2023
Opening balance	400	400
Closing balance	400	400

b) Securities premium

	As at 31 March 2024	As at 31 March 2023
Opening balance	2,845	2,845
Closing balance	2,845	2,845

c) Employee stock options outstanding

	As at 31 March 2024	As at 31 March 2023
Opening balance	-	1,021
Add: Employee compensation expense for the year	-	589
Less: Transfer on cancellation of employee stock option	-	(219)
Less: Transfer to retained earnings (refer note 43)	-	(1,391)
Closing balance	-	-

d) Retained earnings

	As at 31 March 2024	As at 31 March 2023
Opening balance	7,473	5,011
Net profit for the year	1,413	1,498
<i>Items of other comprehensive income recognised directly in retained earnings</i>		
Remeasurement of defined benefit obligations	(17)	51
Income tax relating to these items	4	(13)
Balance transfer from employees stock options (refer note 43)	-	1,391
Transfer on cancellation of employee share options (refer note 43)	-	(465)
Closing balance	8,873	7,473

Nature and purpose of other Reserves**Securities premium**

Securities premium is used to record the premium on issue of shares. The securities premium is utilised in accordance with the provisions of the companies Act 2013.

Retained earnings

Retained earnings are the accumulated profits earned by the Company till date.

Employee stock options outstanding

Employee share option reserve represents the equity-settled share options granted to employees. The reserve is made up of the cumulative value of services received from employees recorded over the vesting period commencing from the grant date of equity-settled share options and is reduced by the expiry or exercise of the share options. with effect from 12 April 2022, The company was acquired by Pine Labs Limited (Parent company). Pursuant to this acquisition, Mosambee ESOP plan was cancelled and accordingly the amount was transferred to retained earnings.

Capital redemption reserve

During the financial year 2019-20, the Company redeemed its optionally convertible preference shares pursuant to the option for redemption exercised by the shareholders under the Share Subscription and Shareholders' Agreement dated 27 January 2017. The Company has redeemed the preference shares so as to provide a 25% Internal Rate of Return to the shareholders amounting to INR 68,213,170 against face value of INR 40,000,000. The Company has discharged its liability to pay tax on distributed income u/s 115 QA. Also owing to the requirement of Section 55 of Companies Act, 2013 company has created a Capital Redemption Reserve for the face value of Preference shares redeemed.

18 Borrowings

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Current:			
Secured			
Loan from banks			
Cash credit (refer note below (i))	2,607	2,255	-
Unsecured			
Loan from related party* (refer note 37)	-	3,075	-
Current borrowings	2,607	5,330	-

For all the borrowings stated above, the fair values are not materially different from their carrying amounts, since the interest payable on most of the borrowings is linked to current market rates or the borrowings are of a short-term nature. Information about the Company's exposure to interest rate and liquidity risks is included in note 34.

* These loan is repayable within the period upto 21 months from the date of disbursement and carry interest at 9% p.a.

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

(i) Cash credit

Cash Credits are repayable on demand. Cash Credit represents a short-term loan and is repayable on demand. Such cash credit was obtained bearing an interest linked to current market rate. The cash credit limit had been secured by a floating charge over inventories, trade and other receivables of Company.

In respect of cash credit facility taken from banks, which are secured by hypothecation of current assets, viz. inventories, receivables and loan to related party, the quarterly statements of current assets filed by the Company with banks were not in agreement with the books of account. The summary of reconciliation is disclosed below:

Particulars	Quarter ended	Amount as per books of account (A)	Amount as reported in the original quarterly return/statement (B)	Amount as reported in the revised quarterly return/statement (C)	Amount of difference between books of accounts and revised quarterly statements (A-C)
Inventories	31 March 2024	346	346	346	-
Trade receivables (excluding unbilled)		6,234	5,509	6,234	-
Inventories	31 December 2023	1,355	1,355	Refer Note 2	-
Trade receivables (excluding unbilled)		5,143	5,143		-
Loans to related party		1,905	1,905		-
Inventories	30 September 2023	487	487	Refer Note 2	-
Trade receivables (excluding unbilled)		4,708	4,708		-
Loans to related party		5,414	5,414		-
Inventories	30 June 2023	1,249	1,249	Refer Note 2	-
Trade receivables (excluding unbilled)		5,957	5,957		-
Loans to related party		7,145	7,145		-

Particulars	Quarter ended	Amount as per books of account (A) (Refer Note 1 below)	Amount as reported in the original quarterly return/statement (B) (Refer Note 1 below)	Amount as reported in the revised quarterly return/statement (C)	Amount of difference between books of accounts and revised quarterly statements (A-C)
Inventories	31 March 2023	1,788	1,831	1,788	-
Trade receivables (excluding unbilled)		5,966	6,370	5,966	-
Loans to related party		4,274	-	4,274	-
Inventories	31 December 2022	1,836	1,833	1,836	-
Trade receivables (excluding unbilled)		5,247	5,611	5,247	-
Loans to related party		3,568	-	3,568	-

Note :

- The company had started filing returns from December 2022 onwards, based on the facilities availed from the banks.
- No revised return was filed as there was no difference in the originally returns so filed.

Movement in liabilities arising from financing activities

	31 March 2024	31 March 2023	1 April 2022
Cash credit	(2,607)	(2,255)	-
Loan from related party* (refer note 37)	-	(3,075)	-
Lease liabilities	(1,226)	(1,062)	(255)
Net borrowing and lease liabilities	(3,833)	(6,393)	(255)

	Liabilities from financing activities			
	Lease liabilities	Cash credit	Loans from related party	Total
As at 1 April 2022	(255)	-	-	(255)
Proceeds from borrowings	-	-	(4,400)	(4,400)
Repayment of borrowings	-	-	1,400	1,400
Payment of lease liabilities	198	-	-	198
Termination/end of lease contracts	-	-	-	-
Total changes from financing cash flows	(57)	-	(3,000)	(3,057)
Change in cash credit (net)	-	(2,242)	-	(2,242)
Other changes				
New leases	(1,005)	-	-	(1,005)
Interest expense	(58)	(51)	(187)	(296)
Interest paid	58	38	112	207
As at 31 March 2023	(1,062)	(2,255)	(3,075)	(6,393)
As at 1 April 2023	(1,062)	(2,255)	(3,075)	(6,393)
Proceeds from borrowings	-	-	-	-
Repayment of borrowings	-	-	3,000	3,000
Payment of lease liabilities	345	-	-	345
Modifications /terminations/end of lease contracts	-	-	-	-
Total changes from financing cash flows	(717)	(2,255)	(75)	(3,048)
Change in cash credit (net)	-	(334)	-	(334)
Other changes				
New leases	(509)	-	-	(509)
Interest expense	(104)	(322)	(134)	(560)
Interest paid	104	304	210	618
As at 31 March 2024	(1,226)	(2,607)	-	(3,833)

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

19 Other financial liabilities

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Non current			
Payable to related party (refer note 37)*	148	132	-
Security deposits received	4	4	4
Total other financial liabilities-non current	152	136	4
Current			
Payable for property plant and equipments	193	44	59
Payable to employees	207	475	454
Payable to related party (refer note 37)*	1,200	505	-
Other payables	294	213	-
Total other financial liabilities-current	1,894	1,237	513

* Payable to related party includes outstanding liability towards the parent company with respect to Employee stock option expenses.

20 Provisions

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Non-current			
Provision for compensated absences	11	9	-
Provision for gratuity (refer note 38)	239	199	178
Total Employee benefit obligations - Non-current	250	208	178
Current			
Provision for compensated absences	22	17	28
Provision for gratuity (refer note 38)	68	48	36
Total Employee benefit obligations - Current	90	65	64

21 Trade payables

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Current			
Total outstanding dues of micro enterprises and small enterprises (refer note 41)	215	66	36
Dues to enterprises other than micro and small enterprises	850	1,073	209
Total trade payables	1,065	1,139	245

Notes

1. These amounts are non-interest bearing. Trade payables are monthly settled on 0 to 60 days term.

2. A portion of trade payables amounting to INR 135 lakhs, INR 291 lakhs and Nil includes payable to related parties as at 31 March 2024, 31 March 2023 and 1 April 2022 respectively. (refer note 37)

Trade payables ageing schedule

As at 31 March 2024		Outstanding for following period from due date of payments					Total
Particulars	Not due	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	Accrued expenses	
Micro enterprises and small enterprises	-	208	-	-	-	7	215
Others	-	247	-	5	-	598	850
	-	455	-	5	-	604	1,065

As at 31 March 2023		Outstanding for following period from due date of payments					Total
Particulars	Not due	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	Accrued expenses	
Micro enterprises and small enterprises	-	60	-	-	-	7	66
Others	-	264	5	-	-	803	1,073
	-	324	5	-	-	810	1,139

As at 1 April 2022		Outstanding for following period from due date of payments					Total
Particulars	Not due	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	Accrued expenses	
Micro enterprises and small enterprises	-	36	-	-	-	-	36
Others	153	55	-	2	-	-	209
	153	90	-	2	-	-	245

22 Other liabilities

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Current			
Statutory dues	90	258	169
Total other liabilities - Current	90	258	169

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

23 Revenue from operations

	Year ended 31 March 2024	Year ended 31 March 2023
Revenue from contracts with customers		
Sale of services	12,014	9,882
Sale of traded goods	7,663	7,987

Total revenue from operations	19,677	17,869
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Disaggregation of revenue

Sale of point of sale devices	7,663	7,987
Service rental, transaction processing and settlement revenue	12,014	9,882

Total revenue	19,677	17,869
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Reconciliation of revenue recognised with the contracted price is as follows

Gross sale of services and goods	19,677	17,869
Less: variable considerations and discounts	-	-
Less: consideration paid to customers	-	-
Net sale of services and goods	19,677	17,869

Timing of revenue recognition

	Year ended 31 March 2024	Year ended 31 March 2023
Sale of goods and services transferred at a point in time	19,677	17,869
Services transferred over time	-	-
Total	19,677	17,869

Contracts assets and contract liabilities**Contract assets**

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Unbilled revenue*	3,540	1,551	514
Less: Loss allowance	(9)	(6)	-
Total contract assets	3,531	1,545	514

*The contract assets primarily relate to the Company's rights to consideration for performance obligation completed but not billed at the reporting date, pending substantive reconciliations with customers in few cases.

Non-current	-	-	-
Current	3,531	1,545	514
Total	3,531	1,545	514

Contract liabilities

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Deferred revenue*	92	173	202
Advance from customers	658	5	48
Total contract liabilities	750	178	250
Non-current	24	58	-
Current	726	120	250
Total	750	178	250

* Deferred revenue represents the consideration received in advance, in respect of future services to be provided to customers.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Revenue recognised in relation to contract liabilities

The following table shows how much of the revenue recognised in the current reporting period relates to carried-forward contract liabilities and how much relates to performance obligations that were satisfied in a prior year.

	As at 31 March 2024	As at 31 March 2023
Revenue recognised that was included in the contract liability balance at the beginning of the year.	120	202

Transaction price allocated to remaining performance obligations:

The following table includes revenue expected to be recognised in the future related to performance obligations that are unsatisfied (or partially unsatisfied) at the reporting date:

	As at 31 March 2024	As at 31 March 2023
Deferred revenue	94	492
Total	94	492

The Company expects to recognize revenue for unsatisfied performance obligations realise in 3 years for 31 March 2024 (31 March 2023: 3 year) from the reporting date. This includes INR 2 lakhs (31 March 2023: INR 319 lakhs) netted off from trade receivables due to considerations not yet received against billings done to the customers.

24 Other income

	Year ended 31 March 2024	Year ended 31 March 2023
Interest income on financial assets measured at amortised cost		
- Bank deposits	2	9
- Unwinding of discount on security deposits	8	6
- Unsecured loans given to related parties	399	280
- Finance lease receivable	8	-
Corporate guarantee income	40	-
Miscellaneous income	1	5
Total other income	458	300

25 Purchase of stock in trade

	Year ended 31 March 2024	Year ended 31 March 2023
Point of sale devices	6,754	8,461
Spares	172	138
Total purchases	6,926	8,599

26 Changes in inventories of stock in trade

	Year ended 31 March 2024	Year ended 31 March 2023
Closing balance		
Stock-in-trade	346	1,788
Total closing balance	346	1,788
Opening balance		
Stock-in-trade	1,788	444
Total opening balance	1,788	444
Less: Point of sale devices capitalised to property, plant and equipment	(49)	(105)
Changes in stock-in-trade	1,393	(1,449)

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

27 Employee benefits expense	Year ended 31 March 2024	Year ended 31 March 2023
Salaries, wages and bonus	3,925	2,994
Contribution to provident and other funds (refer note 38)	78	59
Employee share based payment expense (refer note 43)	677	1,200
Staff welfare expenses	140	70
Total employee benefits expense	4,820	4,323
28 Finance costs	Year ended 31 March 2024	Year ended 31 March 2023
Interest expense on financial liabilities measured at amortised cost		
- Bank borrowings	322	51
- Related party borrowings (refer note 37)	134	187
- Lease liabilities (refer note 5)	104	58
- Statutory dues and micro enterprise and small enterprise	20	7
Total finance costs	580	303
29 Depreciation and amortisation expenses	Year ended 31 March 2024	Year ended 31 March 2023
Depreciation of property, plant and equipment (refer note 3)	396	226
Amortisation of intangible assets (refer note 4)	182	146
Depreciation of right-of-use assets (refer note 5)	404	245
Total depreciation and amortisation expenses	982	617
30 Other expenses	Year ended 31 March 2024	Year ended 31 March 2023
Legal and professional expenses (refer note (a) below)	673	655
Repairs and maintenance	139	98
Advertisement and business promotion	13	9
Communication costs	266	109
Data base maintenance and service charges	406	294
Travel expenses	116	91
Rent	18	28
Insurance	35	48
Expenditure towards corporate social responsibility activities (refer note 31)	50	55
Foreign exchange loss	34	49
Transaction and client services costs	1,532	1,673
Printing and stationery	17	13
Rates and taxes	2	0
Bank charges	21	59
Power and fuel	52	31
Write-off of property, plant and equipment	-	59
Miscellaneous expenses	146	300
Total other expense	3,520	3,571
(a) Payments to auditor comprises (applicable taxes)		
As auditor:		
Statutory audit fees	29	27
Reimbursement of expenses	1	1
Total	30	28

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

31 Details of CSR expenditure:

Particulars	Year ended 31 March 2024	Year ended 31 March 2023
Amount required to be spent by the company during the year,	46	55
Amount spent during the year:-		
(i) Construction/acquisition of any asset	-	-
(ii) On purpose other than (i) above	50	55
Set off from previous year excess spent	-	-
Shortfall / (excess) at the end of the year,	(4)	-
Total of previous years shortfall	-	-
Reason for shortfall,	Not applicable	Not applicable
Nature of CSR activities,	Promoting education and Promoting livelihood enhancement project	
Details of related party transactions, e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard	-	-
Where a provision is made with respect to a liability incurred by entering into a contractual obligation,	-	-

32 Income tax expense

(a) Tax expenses charged to statement of profit and loss	Year ended 31 March 2024	Year ended 31 March 2023
Current income tax expense	585	559
Deferred tax (credit)	(52)	(9)
Income tax expense	533	550
(b) Income tax charged to other comprehensive income		
Income tax in other comprehensive income	4	(13)
(c) Reconciliation of effective tax rate		
Profit before income tax expense	1,946	2,048
Tax at the Indian tax rate of 25.168% (Year ended 31 March 2023 – 25.168%)	490	516
Adjustments:		
Non-deductible expenses	18	21
Others	25	15
Income tax expense	533	551
Effective tax rate	27.38%	26.91%

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

33 Fair value measurements

a) Financial instruments by category

	As at 31 March 2024		As at 31 March 2023		As at 1 April 2022	
	Carrying amount	Fair value	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets						
a) Measured at amortised cost						
Bank deposits (including interest accrued)	68	68	4	4	1,681	1,681
Security deposits	171	171	123	123	72	72
Earmarked balances with banks	327	327	130	130	13	13
Loans	7	7	4,289	4,289	1,746	1,746
Trade receivables	6,403	6,403	6,204	6,204	1,879	1,879
Cash and cash equivalents	414	414	84	84	294	294
Financial lease receivables	1,143	1,143	-	-	-	-
Other receivables	18	18	58	58	296	296
Total financial assets	8,551	8,551	10,892	10,892	5,981	5,981
Financial liabilities						
Measured at amortised cost						
Borrowings	2,607	2,607	5,330	5,330	-	-
Lease liabilities	1,226	1,226	1,062	1,062	255	255
Trade payables	1,065	1,065	1,139	1,139	245	245
Payable for property plant and equipments	193	193	44	44	59	59
Payable to employees	207	207	475	475	454	454
Payable to related party	1,349	1,349	637	637	-	-
Security deposits received	4	4	4	4	4	4
Other payables	294	294	213	213	-	-
Total financial liabilities	6,945	6,945	8,904	8,904	1,017	1,017

The following methods and assumptions were used to estimate the fair values:

(i) Cash and cash equivalents, restricted cash and cash equivalents, interest accrued on bank deposits, trade receivables, other receivables, trade and other payables and other financial liabilities approximate to their fair value largely due to the short-term nature of these instruments.

(ii) For all other financial instruments, the carrying amount is either the fair value, or approximates the fair value.

(ii) There have been no transfers between level I, level II and level III fair value measurements.

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

34 Financial risk management

The Company's activities expose it to a variety of financial risks: market risk (including currency risk and interest rate risk), credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The senior professionals working to manage the financial risks and the appropriate financial risk governance framework for the Company are accountable to the Board. This process provides assurance to the Company's senior management that the Company's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company policies and risk objectives.

(A) Credit risk

Credit risk is the risk that a counter party will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables, contract assets and finance lease receivables) and from its financing activities, including deposits with banks, and financial institutions, and other financial assets. Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis. Financial assets are written off when there are indicators that there is no reasonable expectation of recovery.

Trade receivables and contract assets

Trade receivables and contract assets are non interest bearing and are generally on 0 to 90 days credit term.

Credit risk has always been managed by the Company through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business. In accordance with Ind AS 109, the group applies expected credit loss model (ECL) for measurement and recognition of impairment loss. The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables and contract assets. The Company determines the expected credit losses on these items by using flow rate, estimates based on historical credit loss experience of past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Management also exercises judgment in specific cases and basis past experience makes additional impairment loss provisions. These include trade receivables associated with litigations, balances related to customer who have not transacted/ paid for more than a specific period and other reasons.

The carrying amounts of financial assets represent the maximum credit risk exposure.

The Company's credit risk exposure in relation to trade receivables and contract assets under Ind AS 109 as at 31 March 2024, 31 March 2023 and 1 April 2022 are set out as follows:

As at 31 March 2024

Particulars	Not due	0-6 months past due	6-12 months past due	More than 12 months past due	Total
Trade receivables and contract assets- gross carrying amount					
-Not impaired	5,993	2,243	1,698	-	9,934
-Impaired	30	57	7	71	165
	6,023	2,300	1,705	71	10,099
Loss allowances	(30)	(57)	(7)	(71)	(165)
Net carrying amount	5,993	2,243	1,698	-	9,934

As at 31 March 2023

Particulars	Not due	0-6 months past due	6-12 months past due	More than 12 months past due	Total
Trade receivables and contract assets- gross carrying amount					
-Not impaired	3,884	3,830	35	-	7,749
-Impaired	6	102	48	41	197
	3,890	3,932	83	41	7,946
Loss allowances	(6)	(102)	(48)	(41)	(197)
Net carrying amount	3,884	3,830	35	-	7,749

As at 1 April 2022

Particulars	Not due	0-6 months past due	6-12 months past due	More than 12 months past due	Total
Trade receivables and contract assets- gross carrying amount					
-Not impaired	625	1,742	21	5	2,393
-Impaired	-	-	-	40	40
	625	1,742	21	44	2,432
Loss allowances	-	-	-	(40)	(40)
Net carrying amount	625	1,742	21	5	2,393

Movement in allowance accounts:

Particulars	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
At the beginning of year	197	40	40
Charge during the year	(32)	157	-
Balance at the end of the year	165	197	40

Impairment losses in statement of profit and loss

Particulars	Year ended 31 March 2024	Year ended 31 March 2023
Impairment losses on trade receivables and contract assets	(32)	157
Impairment losses on trade receivables and contract assets	(32)	157

Synergistic Financial Networks Private Limited
Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Finance lease receivable

During the year ended 31 March 2024, the Company is a dealer lessor recognises sale of certain digital check-out points as finance lease. the group recognised revenue at the commencement date at the present value of the lease payments accruing to the lessor, discounted using a market rate of interest.

During the year ended 31 March 2024, the Company recognised interest income on lease receivables of INR 0.77 millions (31 March 2023: Nil).

The following table sets out a maturity analysis of lease receivables, showing the undiscounted lease payments to be received after the reporting date.

	As at March 31		
	2024	2023	2022
Amounts receivable under finance leases :			
< 1 year	331	-	-
1 to 2 years	331	-	-
2 to 3 years	331	-	-
More than 3 years	331	-	-
Total undiscounted lease receivables	1,324	-	-
Less: unearned finance income	181	-	-
Net investment in the lease	1,143	-	-

Other financial instruments and term deposits

Credit risk from balances with banks and financial institutions is managed by Company's treasury. Investments of surplus funds are made only with approved counterparties who meet the minimum threshold requirements under the counterparty risk assessment process. The Company monitors ratings, credit spreads and financial strength of its counter parties. Based on its on-going assessment of counterparty risk, the Company adjusts its exposure to various counterparties. Counterparty credit limits are set to minimise the concentration of risks.

Cash and cash equivalents, earmarked balances with banks and fixed deposits.

The Company held cash and cash equivalents of INR 414 lakhs (31 March 2023: INR 84 lakhs and 1 April 2022: INR 1,975 lakhs), earmarked balances with banks of INR 327 lakhs (31 March 2023: INR 130 lakhs and 1 April 2022: INR 13 lakhs) and fixed deposits of INR 68 lakhs (31 March 2023: 4 lakhs and 1 April 2022: INR 1,681 lakhs) with banks which are considered to have low credit risk.

Security deposits

The Company monitors the credit rating of the counterparties on regular basis. These instruments carry very minimal credit risk based on the financial position of parties and Company's historical experience of dealing with the parties.

(B) Liquidity risk

Liquidity risk is the risk that the Company may not be able to meet its present and future cash and collateral obligations without incurring unacceptable losses. Ultimate responsibility for liquidity risk management rests with the board of directors, which has established an appropriate liquidity risk management framework for management of the Company's short, medium and long-term funding and liquidity management requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities. The Company closely monitors its liquidity position and deploys a cash management system. It maintains adequate sources of financing including loans, debt, cash credit and overdraft facilities from banks.

(i) Maturities of financial liabilities

The table below provides details regarding the contractual maturities of significant financial liabilities:

Contractual maturities of financial liabilities : (undiscounted cash flows)

	Carrying amount	Contractual cashflows				Total
		Less than 1 year	1 to 2 years	2 to 5 Years	More than 5 years	
31 March 2024						
Borrowings	2,607	2,607	-	-	-	2,607
Lease liabilities	1,226	487	413	478	42	1,419
Trade payables	1,065	1,065	-	-	-	1,065
Other financial liabilities	2,047	1,895	121	31	-	2,047
Total	6,945	6,053	534	510	42	7,138
31 March 2023						
Borrowings	5,330	5,330	-	-	-	5,330
Lease liabilities	1,062	366	333	552	-	1,251
Trade payables	1,139	1,139	-	-	-	1,139
Other financial liabilities	1,373	1,237	86	50	-	1,373
Total	8,904	8,072	419	602	-	9,093
1 April 2022						
Lease liabilities	255	133	85	78	-	296
Trade payables	245	245	-	-	-	245
Other financial liabilities	517	513	4	-	-	517
Total	1,017	891	89	78	-	1,058

The Company also has access to financing facilities as described below. The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Secured cash credit facility			
-amount used	2,607	2,255	-
-amount unused	2,393	2,245	-

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

(C) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise three types of risk: foreign currency rate risk, interest rate risk and other price risks, such as equity risk. Market risk is attributable to all market risk sensitive financial instruments including foreign currency receivables, payables and borrowings. The Company has in place appropriate risk management policies to limit the impact of these risks on its financial performance.

(i) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company doesnot have any long term credit facilities. Therefore, any changes in the market linked interest rates environment will not have impact on the Company.

(ii) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. Fluctuations in foreign currency exchange rates may have an impact on the standalone statements of profit and loss, the standalone statement of changes in equity, where any transaction references more than one currency or where assets/liabilities are denominated in a currency other than the functional currency of the Company.

The Company operates internationally and is exposed to foreign exchange risk arising from foreign currency transactions, primarily with respect to trade receivables and payables. The Company does not enter into derivative financial instruments (such as foreign currency forward contacts) for hedging of its foreign currency risk. The appropriateness of the risk policy is reviewed periodically with reference to the approved foreign currency risk management policy followed by the Company.

Exposure to currency risk

The following table analyzes foreign currency risk from financial assets and liabilities as of 31 March 2024, 31 March 2023 and 1 April 2022:

		As at 31 March 2024		As at 31 March 2023		As at 1 April 2022	
		Foreign currency (In lakhs)	Indian Rupee	Foreign currency (In lakhs)	Indian Rupee	Foreign currency (In lakhs)	Indian Rupee
Trade receivables	USD	5	436	2	157	1	98
Other assets	USD	15	1,234	9	737	6	472
Other financial liabilities	USD	16	1,348	8	637	-	-
Trade payables	AED	-	-	0	4	-	-
	USD	1	116	-	-	-	-

Sensitivity

The Company is mainly exposed to the fluctuations in USD.

The following table details the Company's sensitivity to a 5% increase and decrease in currency units against USD. 5% is the rate used in order to determine the sensitivity analysis, considering the past trends and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes outstanding foreign currency denominated monetary items and adjusts their translation at the year-end for a 5% change in foreign currency rates.

A positive number below indicates an increase in profit and other reserves where INR strengthens 5% against USD. For a 5% weakening of INR against USD, there would be a comparable impact on the profit and other reserves, and the balances below would be negative.

Particulars	Impact on profit (increase/(decrease))		Impact on equity, net of tax (increase/(decrease))	
	31 March 2024	31 March 2023	31 March 2024	31 March 2023
USD sensitivity				
INR/USD - Increase by 5%	(16)	(13)	12	10
INR/USD - Decrease by 5%	16	13	(12)	(10)

35 Capital management**Risk management**

For the purpose of the Company's capital management, capital includes ordinary share capital and all reserves attributable to the equity holders. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions. The Company focus is to keep strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company. The Company is not subject to any externally imposed capital requirements.

36 Additional Regulatory Information**a) Analytical Ratios**

Ratio	Numerator	Denominator	31 March 2024	31 March 2023	Variance (in %)
Current ratio (in times)	Current assets	Current liabilities	1.89	1.79	6%
Debt equity ratio (in times) (refer note (ai))	Total debt=Borrowings+Lease liabilities	Shareholder equity	0.31	0.59	-47%
Debt service coverage ratio (in times) (refer note (aaii))	Earnings available for debt service	Debt service	0.74	6.44	-88%
Return on equity (in %)	Net profit after taxes	Average shareholders equity	12.17%	14.70%	-17%
Inventory turnover ratio (in times)	Cost of goods sold	Average inventory	7.79	6.41	22%
Trade receivable turnover ratio (in times)(refer note (aiii))	Revenue from operations	Average accounts receivable	2.23	3.52	-37%
Trade payables turnover ratio (in times)(refer note (aiv))	Purchase of stock in trade+Other expenses (excluding non cash expenses)	Average trade payable	9.49	17.52	-46%
Net capital turnover ratio (in times)	Net Sales	Working capital	3.07	2.80	10%
Net profit ratio (in %)	Net profit	Net sales	7.18%	8.38%	-14%
Return on capital employed (in %)	EBIT=Earning before interest and taxes	Capital employed = Tangible networth + Total debt + Total deferred tax liability	16.28%	14.01%	16%

Remarks

(ai) Due to increase in equity and decrease in borrowings during the current year.

(aii) Due to repayment of borrowing in current year.

(aiii) Due to increase in average trade receivables

(aiv) Due to decrease in purchase of stock in trade

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Notes to the standalone financial statements for the year ended 31 March 2024

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b) Others

- i) The Company does not have any Benami property, where any proceedings have been initiated or pending against the Company for holding any Benami property.
- ii) There are no charges or satisfaction of charges, which are yet to be registered with Registrar of Companies beyond the statutory period.
- iii) The Company has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both.
- iv) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income in the tax assessments under the Income Tax Act, 1961 (such as search or survey or any other relevant provisions of the Income Tax Act, 1961).
- v) The Company has not traded or invested in Crypto currency or Virtual Currency during the period covered.
- vi) The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- vii) The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- viii) The Company is not declared as willful defaulter by any bank or financial institution (as defined under the Companies Act, 2013) or consortium thereof or other lender in accordance with the guidelines on willful defaulters issued by the Reserve Bank of India.
- ix) a) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.
 - b) The Company (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any CICs as part of the Group.
- x) The Company has complied with the number of layers prescribed under the Companies Act, 2013.
- xi) The Company has not entered into any scheme of arrangement which has an accounting impact.

c) Disclosure for struck off companies

There are no transaction or balance outstanding as at 31 March 2024, 31 March 2023 and 1 April 2022 with Struck off Companies.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

37 Related party disclosures:

(a) Parent entity and fellow subsidiaries

Name of entity	Type
Pine Labs Limited	Parent Company
Cashless Technologies India Private Limited	Subsidiary Company
Grapefruit Payment Solutions Private Limited (upto 13 June 2023)	Subsidiary Company
Grapefruit Payment Solutions Private Limited (with effect from 14 June 2023)	Fellow subsidiary
Pine Labs Private Limited	Fellow subsidiary
Pine Labs Payment Services Provider L.L.C	Fellow subsidiary

(b) Key managerial personnel:

Alok Arora (Director) (upto April 12, 2022)
 Bhushan Thaker (Director) (upto April 12, 2022)
 Sameer Chugh (Director)
 Ginni Singhal (Director) (w.e.f. April 12, 2022 upto January 20, 2023)
 Prashant Jaju (Nominee Director) (w.e.f. April 12, 2022)
 Jagriti Bhattacharya (Nominee Director) (w.e.f. January 24, 2023)

(c) Key management personnel compensation:#

	Year ended 31 March 2024	Year ended 31 March 2023
Remuneration paid		
Short term employees benefits	207	153
Post-employment benefits*	21	12
Long term employees benefits*	1	0
Employee share based payments	312	236
Reimbursement of expenses	3	3
Total	544	404

#Compensation for key management personnel has been disclosed till the date they were became key management personnel.

* Post employment benefits and long-term employee benefits have been disclosed from the actuarial valuation done for Key management personnel separately.

(d) Details of related party transactions during the year:

Particulars	Year ended 31 March 2024	Year ended 31 March 2023
Sale of Goods or Services		
Cashless Technologies India Private Limited	0	97
Pine Labs Private Limited	553	-
Interest Income on loans given to		
Cashless Technologies India Private Limited	398	278
Grapefruit Payment Solutions Private Limited	1	2
Interest expense on loan taken from		
Pine Labs Private Limited	134	187
Employee stock option scheme expenses		
Pine Labs Limited	677	611

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

(d) Details of related party transactions during the year:

Particulars	Year ended 31 March 2024	Year ended 31 March 2023
Merchant discount rate (MDR) expenses		
Cashless Technologies India Private Limited	-	114
Other Income		
Cashless Technologies India Private Limited	40	-
Receivable written off		
Cashless Technologies India Private Limited	-	213
Transaction and client services costs		
Cashless Technologies India Private Limited	220	974
Repair and maintenance expenses		
Pine Labs Payment Service Provider LLC	-	4
Legal and professional expenses		
Pine Labs Payment Service Provider LLC	11	-
Database maintenance expenses		
Pine Labs Payment Service Provider LLC	23	-
Investment		
Grapefruit Payment Solutions Private Limited	-	9
Loan taken from		
Pine Labs Private Limited	-	4,400
Loan repaid to		
Pine Labs Private Limited	3,000	1,400
Loans given to		
Cashless Technologies India Private Limited	1,869	13,892
Grapefruit Payment Solutions Private Limited	1	13
Loans repaid by		
Cashless Technologies India Private Limited	6,143	11,347
Grapefruit Payment Solutions Private Limited	9	14
Expenses incurred on behalf of		
Grapefruit Payment Solutions Private Limited	0	1
Reimbursement of Expenses		
Insurance expenses		
Pine Labs Private Limited	2	14
Rent expenses		
Grapefruit Payment Solutions Private Limited	8	12
Electricity expenses		
Grapefruit Payment Solutions Private Limited	2	2
Sale of investment to related party		
Pine Labs Private Limited	10	-
Corporate Guarantee		
Cashless Technologies India Private Limited	4,000	-

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

(e) Outstanding balances arising :

Particulars	As at		
	31 March 2024	31 March 2023	1 April 2022
Investments			
Cashless Technologies India Private Limited	1,928	1,928	1,928
Grapefruit Payment Solutions Private Limited	-	10	1
Trade Receivables			
Pine Labs Private Limited	99	-	-
Other financial assets			
Cashless Technologies India Private Limited	-	-	257
Interest on loan to Cashless Technologies India Private Limited	-	55	27
Interest on loan to Grapefruit Payment Solutions Private Limited	3	2	-
Other assets			
Pine Labs Payment Service Provider LLC	83	-	-
Other financial liabilities			
Pine Labs Limited	1,348	637	-
Trade payables			
Pine Labs Private Limited	-	14	-
Cashless Technologies India Private Limited	18	273	-
Pine Labs Payment Service Provider LLC	116	4	-
Loans given			
Cashless Technologies India Private Limited	-	4,274	1,730
Grapefruit Payment Solutions Private Limited	7	15	16
Borrowings			
Pine Labs Private Limited	-	3,075	-
Salary payable to Key Management Personnel			
Alok Arora	-	-	5
Bhushan Thaker	-	-	5
Sameer Chugh	40	57	-
Travel advance to Key Management Personnel			
Sameer Chugh	8	-	-
Corporate Guarantee			
Cashless Technologies India Private Limited	4,000	-	-

(f) Terms and conditions

All other transactions were made on normal commercial terms and conditions and at market rates. All balances receivables and payables are unsecured and to be settled in cash.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

38 Employee benefits

(a) Defined contribution plans

The Company provide provident fund and employee's state insurance scheme for eligible employees as per applicable regulations where in both employees and the Company make monthly contributions at a specified percentage of the eligible employee's salary. The expense recognised during the year towards defined contribution plan is INR 78 lakhs (31 March 2023: INR 59 lakhs).

(b) Defined benefit plan

The Company provides for gratuity for employees as per the Payment of Gratuity Act, 1972. The amount of gratuity payable on retirement/termination is the employees last drawn basic salary per month computed proportionately for 15 days salary multiplied for the number of years of service. The Company have an unfunded defined benefit gratuity plan as per Payment of Gratuity Act, 1972.

Details of changes and obligation under the defined benefit plan is given as below:-

I Expense recognized in the standalone statement of profit and loss:

	Year ended 31 March 2024	Year ended 31 March 2023
(i) Current service cost	57	50
(ii) Past service cost	-	26
(iii) Interest cost	16	13
Net expense recognized in the standalone statement of profit	73	89

II Remeasurement of (gain)/loss recognised in other comprehensive income

	Year ended 31 March 2024	Year ended 31 March 2023
(i) Actuarial changes arising from changes in demographic assumptions	-	(52)
(ii) Actuarial changes arising from changes in financial assumptions	(12)	(35)
(iii) Actuarial changes arising from changes in experience adjustments	29	35
Net gain recognised in other comprehensive income	17	(51)

III Changes in obligation during the year:

	Year ended 31 March 2024	Year ended 31 March 2023
(i) Opening balance	246	216
(ii) Current service cost	57	50
(iii) Past service cost	-	26
(iv) Interest cost	16	13
(v) Actuarial (gain) / loss	17	(51)
(vi) Benefits paid	(29)	(6)
Present value of obligation as at year end	307	247

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

IV Net assets / liabilities recognised in the standalone balance

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
(i) Present value of obligation at the end of the year	307	247	214
(ii) Fair value of plan assets at the end of the year	-	-	-
(iii) Net liabilities / (assets) recognised in the balance sheet			
- Current	68	48	36
- Non current	239	199	178
	307	247	214

V Experience adjustment

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Experience adjustment (gain) / loss on plan liabilities	29	35	(7)
Experience adjustment (loss) / gain on plan assets	-	-	-

VI Principle actuarial assumptions

	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
(i) Discount rate (per annum)	7.15%	7.30%	6.41%
(ii) Expected increase in salary costs (per annum)	5% until year 1 inclusive, then 8% until year 3 inclusive, then 9.50%	5% until year 1 inclusive, then 10% until year 3 inclusive, then 9.50%	15%
(iii) Attrition rate	25%	25%	15%
(iv) Mortality rate ; Published rates under the Indian Assured Lives Mortality (2012-14) Ult table			
(v) Retirement age			
KMP	70 years	70 years	70 years
Other than KMP	60 years	60 years	60 years

VII Quantitative sensitivity analysis for significant assumptions is as below:

Increase / (decrease) on present value of defined benefits obligations at the end of the year	As at 31 March 2024	As at 31 March 2023
Discount Rate		
Increase by 0.5%	(6.17)	(5.71)
Decrease by 0.5%	6.41	4.50
Salary Increase		
Increase by 0.5%	6.29	4.41
Decrease by 0.5%	(6.11)	(5.67)
Attrition Rate		
Increase by 100 bps	(2.35)	(2.68)
Decrease by 100 bps	2.47	1.36
Mortality Rate		
Increase by 10%	(0.02)	(0.71)
Decrease by 10%	0.02	(0.69)

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the standalone balance sheet.

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

VIII Risk exposure

Through its defined benefit plans, The Company is exposed to a number of risks, the most significant of which are detailed below:

Interest rate risk: The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

Salary inflation risk: Higher than expected increases in salary will increase the defined benefit obligation.

Demographic risk : This is the risk of variability of results due to unsystematic nature of decrements that include mortality, withdrawal, disability and retirement. The effect of these decrements on the defined benefit obligation is not straight forward and depends upon the combination of salary increase, discount rate and vesting criteria. It is important not to overstate withdrawals because in the financial analysis the retirement benefit of a short career employee typically costs less per year as compared to a long service employee.

IX Maturity profile of defined benefit obligation (Undiscounted)

Particulars	As at 31 March 2024	As at 31 March 2023
Within the next 12 months (next annual reporting period)	68	54
Between 1 and 6 years	229	129
Beyond 6 years	133	80
Total expected payments	430	263

X The average duration of the defined benefit plan obligation at the end of the reporting period is 4.12 years (31 March 2023: 4.14 years).

39 Earnings per share (EPS)

- (a) Profit after tax for equity shareholders for calculation of basic and diluted EPS
- (b) Weighted average number of equity shares of INR 10 each
(31 March 2023 : INR 10 each) for both basic and dilutive shares
- (c) Basic and diluted Earnings per share

Year ended 31 March 2024	Year ended 31 March 2023
1,413	1,498
19,46,791	19,46,791
72.58	76.94

40 Contingent liabilities

- i) Indirect tax matters (Goods and services tax matters) (Refer note (i) below)
- ii) Guarantees outstanding (Refer note (ii) below)

As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
27	27	27
4,000	-	-
4,027	27	27

i) In February 2022, The Deputy Commissioner of State Tax, Maharashtra passed the assessment order under Section 73 of the Central Goods and Services Tax Act ("CGST Act") 2017 stating that Company has claimed excess Input Tax Credit ("ITC") in GST return and claiming the ITC on purchase invoices uploaded by the supplier in GST return post last date of availment of the same. The company has filed an appeal to Appellate Authority. On the basis of internal evaluation and in consultation with the legal counsel, the company has considered an amount of INR 27 lakhs under contingent liabilities.

ii) The Company has given guarantee to HDFC bank for providing credit facilities to its susbsidiary i.e., Cashless Technologies India Private Limited. As per the terms of guarantee given, the Company undertakes to compensate the bank in the event of default.

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

41 Dues to micro and small enterprises

The Company has certain dues to suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006 ('MSMED Act'). The disclosures pursuant to the said MSMED Act are as follows:

Particulars	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
(a) Principal amount remaining unpaid to any supplier as at the end of the year.	209	60	29
Interest due thereon remaining unpaid to any supplier as at the end of the year.	6	6	7
(b) Amount of interest paid by the buyer under MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during the year	20	82	37
(c) Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006)	-	-	-
(d) The amount of interest accrued and remaining unpaid at the end of the year;	0	0	0
(e) The amount of further interest remaining due and payable even in the succeeding year, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act 2006.	6	6	6

42 Capital commitments

Capital expenditure contracted for at the end of the reporting period, but not recognised is as follow:

Particulars	As at 31 March 2024	As at 31 March 2023	As at 1 April 2022
Estimated amounts of contracts remaining to be executed on capital account and not provided for	37	99	25
	37	99	25

The Company has other commitments on accounts of contracts remaining to be executed which are entered into in the normal course of business. The Company does not have any other long term contracts including derivative contracts for which there will be any material foreseeable losses.

43 Employee share option scheme

(a) Employee Stock Option Plan- Synergistic Financial Networks Private Limited ("Mosambee")

Prior to April 12, 2022, the Board of Directors of the Company vide resolution dated September 15, 2017, September 7, 2018, February 1, 2020, September 28, 2021 and February 4, 2022 had approved ESOP 2017, ESOP 2018, ESOP 2020, ESOP 2021 and ESOP 2022 schemes (herein referred to as 'Mosambee ESOP option plan') respectively for granting Employee Stock Options to the eligible employees of Mosambee and its subsidiary company 'Cashless Technologies India Private Limited' as determined by the Board of Directors of the Company.

Vesting period for these options are over a period of 36 months based on their respective approved vesting schedule by the Board of Directors of the Company.

Exercise period for these options ranges from 36 months to vesting over 60 months based on their respective approved vesting schedule by the Board of Directors of the Company.

Subsequent to April 12, 2022, upon acquisition of Mosambee including its subsidiary companies by Pine Labs Limited, Mosambee ESOP option plan were cancelled. Accordingly, the existing options held by the employees as on April 12, 2022 were cancelled and settled partially through cash and rest by giving replacement awards of the Pine Labs Limited.

Additionally, subsequent to the acquisition of Mosambee by Pine Labs Limited, eligible employees of Mosambee and its subsidiary companies are granted ESOP of Parent Company i.e Pine Labs Limited under Employee stock option plan of Pine Labs Limited and related employee share option expenses are recognised in Statement of profit and loss.

The number and weighted average exercise prices of share options under Mosambee ESOP option plan outstanding during the year are as follows :-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	23,512	172
Options granted during the year	-	-	-	-
Options cancelled and replaced by Parent Company	-	-	(11,756)	172
Options cancelled and settled in cash*	-	-	(11,756)	172
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	10,330	172
Options cancelled and replaced by Parent Company	-	-	(5,165)	172
Options cancelled and settled in cash*	-	-	(5,165)	172
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	22,653	172
Options cancelled and replaced by Parent Company	-	-	(17,470)	172
Options cancelled and settled in cash*	-	-	(5,183)	172
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	65,052	80
Options cancelled and replaced by Parent Company	-	-	(47,489)	80
Options cancelled and settled in cash*	-	-	(17,563)	80
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	65,052	80
Options cancelled and replaced by Parent Company	-	-	(47,489)	80
Options cancelled and settled in cash*	-	-	(17,563)	80
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

Synergistic Financial Networks Private Limited
Notes to the standalone financial statements for the year ended March 31, 2024
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	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	24,959	172
Options cancelled and replaced by Parent Company	-	-	(24,811)	172
Options cancelled and settled in cash*	-	-	(148)	172
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of year	-	-	-	-

The Company recognised employee share option expense for the years ending 31 March 2024 and 31 March 2023 in respect of Mosambee ESOP option plan amounting to INR Nil and INR 589 Lakhs respectively. Further on cancellation of Mosambee ESOP option plan during the financial year ended March 31, 2023, INR 1,391 lakhs has been transferred from Employee Stock Options Outstanding to Retained Earnings.

* INR 219 lakhs and INR 466 lakhs was debited to Employee Stock Options Outstanding and Retained Earnings respectively towards options cancelled and settled through cash.

(b) Employee stock option plan of Pine Labs Limited (Parent Company)

Pine Labs Limited ("The Parent Company") formulated the Employees Stock Option Plan 2014 ("Plan") which was approved by the Board of the Parent Company. The options are denominated in US Dollars ("USD").

Vesting conditions

Options granted to a Participant(s), under each Grant, shall vest subject to the condition that the Participant continues to be in employment with the group during the term required as per their respective vesting schedule. Vesting period ranges from immediate vesting to vesting over 12 months, 24 months, 29 months, 45 months and 48 months based on their respective approved vesting schedule.

Exercise period is the period from the vesting date, as may be determined by the Board of the Parent Company from time to time, within which the vested options must be exercised, i.e. 60 months from each vesting date or 12 months from the date of termination of services for any reasons, including but not limited to, death and permanent disability, whichever is earlier or as may be determined by the Board in some specific cases. If the participant does not exercise his vested options during the exercise period, the vested options shall lapse.

Each option entitles the holder to one common share of the Parent Company. On exercise of options the employees are issued shares of the Parent Company.

The Company has entered into an agreement with the Parent Company, whereby the Company will reimburse the Parent Company for the share based compensation cost computed on the basis of fair value method in respect of options exercised by the employees of the Company. Accordingly, the Company has set up liability in respect of Share based compensation payable to the Parent Company computed on the basis of fair value method in respect of all options vested as well as outstanding as at the year end.

The number and weighted average exercise prices of share options outstanding during the year are as follows :-

Particulars	31 March 2024		31 March 2023	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	10,929	630	-	-
Options granted during the year	1,509	664	7,564	639
Options granted as replacement award during the year	-	-	3,558	611
Forfeited during the year	(568)	632	(39)	633
Exercised during the year	(232)	611	(154)	611
Outstanding at the end of the year	11,638	635	10,929	630
Exercisable at the end of year	6,734	630	1,987	611

The weighted average share price at the date of exercise for share options exercised during the year was INR 13,431.51 (March 31, 2023 : INR 14,930.94)

The share options outstanding at 31 March 2024 had a exercise price ranging from INR 611.39 to INR 664.46 (31 March 2023: 611.39 to INR 661.70) and a weighted average remaining contractual life of 5.09 years (31 March 2023: 5.90)

The weighted average fair value of options granted during the year was INR 12,420.99 per option (March 31, 2023 : INR 14,703.90)

Inputs for measurement of grant date fair values

The fair value of the share options on date of grant was made using the Black-Scholes model with the following assumptions-

Particulars	31 March 2024	31 March 2023
Weighted average share price	12,962	19,517
Expected volatility	51.96%-54.20%	35.00%-45.29%
Expected life of share options	2.50-4.41	2.58-4.66
Risk Free Rate	4.09%-4.67%	2.62%-4.44%
Expected dividend yields	-	-

Share based compensation cost for the years ending 31 March 2024 and 31 March 2023 in respect of stock options amounting to INR 677 Lakhs and INR 611 Lakhs has been determined based on fair value method. As at 31 March 2024 and 31 March 2023, outstanding liability towards the Parent Company with respect to Employee stock option expenses are INR 1,349 Lakhs and INR 637 Lakhs respectively.

Synergistic Financial Networks Private Limited
Notes to the standalone financial statements for the year ended March 31, 2024
(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

44 First-time adoption of Ind AS

These financial statements, for the year ended 31 March 2024, are the Company's first financial statements prepared in accordance with Ind AS. For periods up to and including the year ended 31 March 2023, the Company had prepared its financial statements in accordance with accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 (Previous GAAP).

Accordingly, the Company has prepared the financial statements which comply with Ind AS applicable for periods ending on 31 March 2024, together with the comparative period data as at and for the year ended March 31, 2023, as described in the material accounting policies. In preparing these financial statements, the Company's opening balance sheet was prepared as at 1 April 2022, the Company's date of transition to Ind AS. An explanation of how the transition from previous GAAP to Ind AS has affected the Company's financial position, financial performance and cash flows is set out in the below tables and notes.

The below notes explains optional exemptions and mandatory exceptions availed by the Company in restating its Previous GAAP financial statements, including the balance sheet as at 1 April 2022 and the financial statements as at and for the year ended 31 March 2023.

(A) Exemptions availed:

Set out below are the applicable Ind AS 101 optional exemptions and mandatory exceptions applied in the transition from previous GAAP to Ind AS.

A.1 Ind AS optional exemptions

A.1.1 Deemed cost

Ind AS 101 permits a first-time adopter to elect to continue with the carrying value for all of its property, plant and equipment and intangible assets as recognised in the financial statements as at the date of transition to Ind AS, measured as per the previous GAAP and use that as its deemed cost as at the date of transition. Accordingly, the Company has elected to measure all its property, plant and equipment and intangible assets at the previous GAAP carrying amount as its deemed cost on the date of transition to Ind AS.

A.2 Ind AS mandatory exceptions

A.2.1 Estimates

An entity's estimates in accordance with Ind ASs at the date of transition to Ind AS shall be consistent with estimates made for the same date in accordance with previous GAAP (after adjustments to reflect any difference in accounting policies), unless there is objective evidence that those estimates were in error. Ind AS estimates as at 1 April 2022 are consistent with the estimates as at the same date made in conformity with previous GAAP.

A.2.2 Classification and measurement of financial assets

Ind AS 101 requires an entity to assess classification and measurement of financial assets on the basis of the facts and circumstances that exist at the date of transition to Ind AS. Accordingly, the Company has determined the classification of financial assets based on facts and circumstances that exist on the date of transition.

A.2.3 De-recognition of financial assets and liabilities

Ind AS 101 requires an entity to apply de-recognition provisions of Ind AS 109 prospectively for transactions occurring on or after the date of transition to Ind AS. However, Ind AS 101 allows an entity to apply the de-recognition requirements in Ind AS 109 retrospectively from a date of the entity's choosing, provided that the information needed to apply Ind AS 109 to financial assets and financial liabilities derecognised as a result of past transactions was obtained at the time of initially accounting for those transactions.

The Company has elected to apply de-recognition provisions of Ind AS 109 prospectively from the date of transition to Ind AS.

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Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

44 First-time adoption of Ind AS

(B) Reconciliations between previous GAAP and Ind AS

Ind AS 101 requires an entity to reconcile equity, total comprehensive income and cash flows for prior periods. The following tables represent the reconciliations from previous GAAP to Ind AS.

i) Reconciliation of between previous GAAP as 31 March 2023 and 1 April 2022

Particulars	Foot note reference	Reconciliation of equity		Reconciliation of profit for year ended 31 March 2023
		31 March 2023	1 April 2022	
Total Equity (Shareholder's fund) as per previous GAAP		10,936	9,481	1,551
Profit for the year as per previous GAAP				
Adjustment made:				
Ind AS 116 'leases'	(b)	16	3	13
Financial instruments at amortised cost	(a)	2	8	(6)
Total adjustments		18	11	7
Deferred tax impact on above adjustment		7	(1)	8
Adjustment after taxes		25	10	15
Total Equity as per Ind AS		10,911	9,471	
Total comprehensive income as per Ind AS				1,536

ii) Reconciliation of total equity as at 1 April 2022 (date of transition to Ind AS)

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Assets				
Non-current assets				
Property, plant and equipment	(b)	513	-	513
Right-of-use assets		-	260	260
Intangible assets		331	-	331
Intangible assets under development		150	-	150
Financial assets			-	-
i. Investment		1,929	-	1,929
ii. Other financial assets	(a)	45	(8)	37
Deferred tax assets (net)		196	-	196
Non-current tax assets (net)		302	-	302
Total non-current assets		3,466	252	3,718
Current assets				
Inventories		444	-	444
Financial assets				
i. Trade receivables		1,879	-	1,879
ii. Cash and cash equivalents		1,975	-	1,975
iii. Bank balances other than (iii) above		13	-	13
iv. Loans		1,746	-	1,746
vi. Other financial assets		331	-	331
Contract assets		514	-	514
Other current assets	(b)	537	(7)	530
Total current assets		7,439	(7)	7,432
Total assets		10,905	245	11,150
Equity and liabilities				
Equity				
Equity share capital		195	-	195
Other equity	(a), (b)	9,287	(10)	9,277
Total equity		9,482	(10)	9,472

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Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Liabilities				
Non- current liabilities				
Financial liabilities				
i. Lease liabilities	(b)	-	143	143
ii. Other financial liabilities		4	-	4
Provisions		178	-	178
Total non-current liabilities		182	143	325
Current liabilities				
Financial liabilities				
i. Lease liabilities	(b)	-	112	112
ii. Trade payables				
-total outstanding dues of micro enterprises and small enterprises		36	-	36
-total outstanding dues of creditors other than micro enterprises and small enterprises		209	-	209
iii. Other financial liabilities		513	-	513
Contract liabilities		250	-	250
Provisions		64	-	64
Other current liabilities		169	-	169
Total current liabilities		1,241	112	1,353
Total liabilities		1,423	255	1,678
Total equity and liabilities		10,905	245	11,150

* The previous GAAP figures have been reclassified to conform to IND AS presentation requirements for the purpose of this note.

iii) Reconciliation of equity as at 31 March 2023

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Assets				
Non-current assets				
Property, plant and equipment	(b)	857	-	857
Right-of-use assets		-	1,040	1,040
Intangible assets		278	-	278
Intangible assets under development		249	-	249
Financial assets				
i. Investment	(a)	1,938	-	1,938
ii. Other financial assets		140	(21)	119
Deferred tax assets (net)		192	-	192
Non- current tax assets (net)		705	-	705
Other non-current assets		49	-	49
Total non-current assets		4,408	1,019	5,427
Current assets				
Inventories		1,788	-	1,788
Financial assets				
i. Trade receivables		6,204	-	6,204
ii. Cash and cash equivalents		84	-	84
iii. Bank balances other than (iii) above		134	-	134
iv. Loans		4,289	-	4,289
vi. Other financial assets		62	-	62
Contract assets		1,545	-	1,545
Other current assets		993	-	993
Total current assets		15,099	-	15,099
Total assets		19,507	1,019	20,526
Equity and liabilities				
Equity				
Equity share capital	(a), (b)	195	-	195
Other equity		10,743	(25)	10,718
Total equity		10,938	(25)	10,913

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Liabilities				
Non- current liabilities				
Financial liabilities				
ii. Lease liabilities	(b)	-	778	778
iii. Other financial liabilities		136	-	136
Contract liabilities		58	-	58
Provisions		208	-	208
Other non-current liabilities	(b)	16	(16)	-
Total non-current liabilities		418	762	1,180
Current liabilities				
Financial liabilities				
i. Borrowings		5,330	-	5,330
ii. Lease liabilities	(b)		284	284
iii. Trade payables				-
-total outstanding dues of micro enterprises and small enterprises		66	-	66
-total outstanding dues of creditors other than micro enterprises and small enterprises		1,073	-	1,073
iv. Other financial liabilities		1,237	-	1,237
Contract liabilities		120	-	120
Provisions		65	-	65
Other current liabilities	(b)	260	(2)	258
Total current liabilities		8,151	282	8,433
Total liabilities		8,569	1,044	9,613
Total equity and liabilities		19,507	1,019	20,526

* The previous GAAP figures have been reclassified to conform to IND AS presentation requirements for the purpose of this note.

iv) Reconciliation of total comprehensive income for the year ended 31 March 2023

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Revenue from operations		17,869	-	17,869
Other income	(a), (b)	294	6	300
Total income		18,163	6	18,169
Expenses				
Purchases of stock-in-trade		8,599	-	8,599
Changes in inventories of stock-in-trade		(1,449)	-	(1,449)
Employee benefits expense		4,272	51	4,323
Finance costs	(b)	245	58	303
Depreciation, amortisation and impairment expenses	(b)	372	245	617
Impairment losses on trade receivables and contract assets		157	-	157
Other expenses		3,853	(282)	3,571
Total expenses		16,049	72	16,121
Loss before tax		2,114	(66)	2,048

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

Particulars	Foot note reference	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Tax expense:				
Current tax		559	-	559
Deferred tax		4	(13)	(9)
Tax expense		563	(13)	550
Loss for the year		1,551	(53)	1,498
Other comprehensive income (OCI)				
<i>Items that will not to be reclassified subsequent to profit or loss</i>				
Remeasurements of post employment benefit obligations (net of tax)		-	51	51
Income tax relating to items that will not to be reclassified to profit or loss		-	(13)	(13)
Other comprehensive income for the year, net of tax		-	38	38
Total comprehensive loss for the year		1,551	(15)	1,536

* The previous GAAP figures have been reclassified to conform to IND AS presentation requirements for the purpose of this note.

v) Reconciliation of statement of cash flow for the year ended 31 March 2023

Particulars	Previous GAAP*	Effects of transition to Ind AS	Ind AS
Net cash used in operating activities	(3,034)	217	(2,817)
Net cash flow from/(used in) investing activities	(3,146)	44	(3,102)
Net cash flow from financing activities	2,151	(261)	1,890
Net increase in cash and cash equivalents	(4,029)	0	(4,029)
Cash and cash equivalents as at 1 April 2022	1,989	(0)	1,989
Cash and cash equivalents as at 31 March 2023	(2,040)	0	(2,040)

* The previous GAAP figures have been reclassified to conform to IND AS presentation requirements for the purpose of this note.

vi) Notes to the reconciliation

a) Discounting of security deposit

Under the previous GAAP, interest free lease security deposits (that are refundable in cash on completion of the lease term) are recorded at their transaction value. Under Ind AS, all financial assets are required to be recognised at fair value. Accordingly, the Company has fair valued these security deposits under Ind AS. Difference between the fair value and transaction value of the security deposit has been recognised as Right-of-use asset.

The impact arising from the change is summarised as follows :

Statement of profit and loss	For the year ended 31 March 2023
Unwinding of discount on security deposits	6
Adjustments before income tax: Profit/(Loss)	6

Balance Sheet	As at 31 March 2023	As at 1 April 2022
Security deposit	(21)	(8)
Adjustment to retained earnings	(21)	(8)

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Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

b) Ind AS 116 'leases'

Under Ind AS 116, the Company is required to recognise lease liabilities in relation to leases which had previously been classified as 'operating leases' under IGAAP. These liabilities are measured at the present value of the remaining lease payments, discounted using the Company's incremental borrowing rate as of 1 April 2022, with a corresponding debit to Right-of-use asset, after adjusting amount of any prepaid or accrued lease payments relating to that lease recognised.

Under previous GAAP, rent paid was presented as an expense. However, under Ind AS, interest expense is accounted/accrued on lease liabilities and rent paid is shown as deduction to lease liabilities. Depreciation is charged on Right-of-use asset over the lease term.

The impact arising from the change is summarised as follows :

Statement of profit and loss	For the year ended 31 March 2023
Interest on lease liabilities	58
Reversal of rent	(282)
Depreciation of right-of-use assets	245
Adjustments before income tax: Profit/(Loss)	21

Balance Sheet	As at	As at
Lease liabilities	(1,062)	(255)
Right of use assets	1,040	260
Reversal of lease equalisation reserve	18	-
Prepayment	-	(7)
Adjustments to retained earnings	(3)	(2)

c) Deferred tax

Previous GAAP requires deferred tax accounting using the income statement approach, which focuses on difference between taxable profit and accounting profit for the period. Ind AS 12 required entities to account for deferred tax using balance sheet approach, which focuses on temporary differences between the carrying amount of an asset or liability in the balance sheet and its tax base.

In addition, various transitional adjustments lead to temporary differences. According to accounting policies, the Company has to account for such differences. Deferred tax adjustments are recognized in correlation to the underlying transactions either in retained earnings or separate component of equity.

The net impact on deferred tax assets in INR 1 lakh as at 01 April 2022.

d) Actuarial gain and loss

Under Ind AS, all actuarial gains and losses are recognized in other comprehensive income. Under previous GAAP, the Company recognized all actuarial gains and losses in profit or loss. However, this has no impact on the total comprehensive income and total equity as on 1 April 2022 or as on 31 March 2023.

e) Other comprehensive income

Under previous GAAP, the company has not presented Other Comprehensive Income (OCI) separately. Hence, previous GAAP profit and loss is reconciled to total comprehensive income as per Ind AS.

Synergistic Financial Networks Private Limited

Notes to the standalone financial statements for the year ended 31 March 2024

(Amount in Indian Rupees (INR) lakhs, except per share data, unless otherwise stated)

45 Assets pledged as security

As at 31 March 2024, in respect of borrowings and other financing facilities from banks, the company carries sanctioned limits of INR 5,000 lakhs (31 March 2023: INR 4,500 lakhs) against these sanctioned limits, the outstanding loans is INR 2,607 lakhs (31 March, 2023: INR 2,255 lakhs). As per the terms of the agreements with the lenders, the company has pledged certain inventories and trade receivables having a total carrying value of INR 6,749 lakhs (31 March 2023: INR 7,992 lakhs). The repayment liabilities against these limits are restricted to the outstanding balances of borrowings including interest and applicable charges if any.

46 Pursuant to board of directors resolution dated 26 July, 2021 and share holder resolution dated 2 August, 2021 the Company has on 28 September, 2021, acquired 100% of the shares and voting interests in Cashless Technologies India Private Limited (CTIPL) from erstwhile shareholders pursuant to share swap agreement and share purchase agreement executed on 18 September, 2021.

Total consideration paid by the Company toward this acquisition is INR 1,428 lakhs comprising of

a. INR 52 lakhs as consideration in cash and

b. INR 1,376 lakhs towards consideration other than cash i.e. 67,915 equity shares of the Company having face value of INR 10 each issued at premium of INR 2,017 each to the erstwhile shareholder.

Taking control of CTIPL will enable the Company to access to CTIPLs Brand EMI technology. The acquisition is also expected to provide the Company with an increased share of the standard access to CTIPLs customer base.

Subsequently, loan amounting to INR 200 lakhs given by the Company to CTIPL was converted into equity shares (20 lakhs equity shares at a face value of INR 10 each) on 30 September, 2021.

Further, the Company had subscribed to right issue of 30 lakhs equity shares of CTIPL at a face value of INR 10 each amounting to INR 300 lakhs on 29 October, 2021.

47 The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the company towards Provident Fund and Gratuity. The Ministry of Labour and Employment had released draft rules for the Code on Social Security, 2020 on November 13, 2020. The Company will assess the impact and its evaluation once the subject rules are notified. The Company will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

48 The Company has presented segment information in the consolidated financial statements. Accordingly, in terms of Paragraph 4 of Ind AS 108 'Operating Segments', no disclosures related to segments are presented in these standalone financial statements.

49 The Company is in the process of developing a comprehensive system of maintenance of information and documents as required by the transfer pricing legislation under section 92-92F of the Income-tax Act, 1961 which require existence of these records latest by such date as required under law. The management is of the opinion that its international transactions are at arm's length so that the aforesaid legislation will not have any impact on the financial statements, particularly on the amount of tax expense and that of provision for taxation for the year.

50 The amounts disclosed in financials as "0" are below the rounding off norm adopted by the Company.

For B S R & Co. LLP

Chartered Accountants

ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Synergistic Financial Networks Private Limited
U67190MH2008PTC180007

Ankit Gupta

Partner

Membership Number: 517870

Place: Gurugram

Date: 27 September 2024

Sameer Chugh

Director

DIN: 05214251

Place : Mumbai

Date: 27 September 2024

Prashant Jaju

Nominee Director

DIN: 09566330

Place : Noida

Date: 27 September 2024